

# Brewarrina Shire Council

ANNUAL FINANCIAL STATEMENTS  
for the year ended 30 June 2023

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*Building on the economic and social sustainability in order  
to preserve the rich heritage of the community*



# Brewarrina Shire Council

GENERAL PURPOSE FINANCIAL STATEMENTS  
for the year ended 30 June 2023

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*Building on the economic and social sustainability in order  
to preserve the rich heritage of the community*



# Brewarrina Shire Council

## General Purpose Financial Statements

for the year ended 30 June 2023

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### Overview

Brewarrina Shire Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

57 Bathurst Street  
Brewarrina NSW 2839

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-2.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: [www.brewarrina.nsw.gov.au](http://www.brewarrina.nsw.gov.au).

# Brewarrina Shire Council

## General Purpose Financial Statements

for the year ended 30 June 2023

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Statement by Councillors and Management made pursuant to Section 413 (2c) of the *Local Government Act 1993* (NSW)

**The attached general purpose financial statements have been prepared in accordance with:**

- the *Local Government Act 1993* and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

**To the best of our knowledge and belief, these statements:**

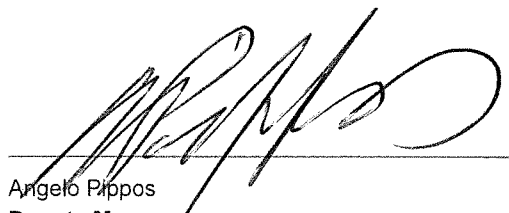
- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

**We are not aware of any matter that would render these statements false or misleading in any way.**

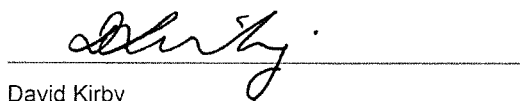
**Signed in accordance with a resolution of Council made on 25 August 2023.**



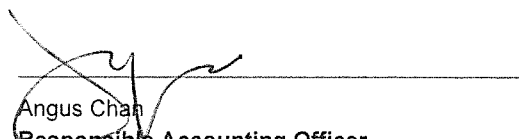
Vivian Slack-Smith  
**Mayor**  
25 August 2023



Angelo Pappas  
**Deputy Mayor**  
25 August 2023



David Kirby  
**General Manager**  
25 August 2023



Angus Chan  
**Responsible Accounting Officer**  
25 August 2023

## Brewarrina Shire Council

## Income Statement

for the year ended 30 June 2023

| Original<br>unaudited<br>budget<br>2023<br>\$ '000                                                     |                                                                   | Notes | Actual<br>2023<br>\$ '000 | Restated<br>Actual<br>2022 <sup>1</sup><br>\$ '000 |
|--------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|-------|---------------------------|----------------------------------------------------|
| <b>Income from continuing operations</b>                                                               |                                                                   |       |                           |                                                    |
| 2,683                                                                                                  | Rates and annual charges                                          | B2-1  | 2,618                     | 2,444                                              |
| 2,589                                                                                                  | User charges and fees                                             | B2-2  | 6,732                     | 1,349                                              |
| 398                                                                                                    | Other revenues                                                    | B2-3  | 378                       | 617                                                |
| 5,942                                                                                                  | Grants and contributions provided for operating purposes          | B2-4  | 16,244                    | 9,236                                              |
| 5,995                                                                                                  | Grants and contributions provided for capital purposes            | B2-4  | 4,529                     | 33,837                                             |
| 76                                                                                                     | Interest and investment income                                    | B2-5  | 606                       | 124                                                |
| 142                                                                                                    | Other income                                                      | B2-6  | 143                       | 125                                                |
| 80                                                                                                     | Net gain from the disposal of assets                              | B4-1  | 199                       | —                                                  |
| 17,905                                                                                                 | <b>Total income from continuing operations</b>                    |       | <b>31,449</b>             | <b>47,732</b>                                      |
| <b>Expenses from continuing operations</b>                                                             |                                                                   |       |                           |                                                    |
| 4,394                                                                                                  | Employee benefits and on-costs                                    | B3-1  | 5,959                     | 5,517                                              |
| 5,053                                                                                                  | Materials and services                                            | B3-2  | 9,934                     | 3,255                                              |
| 68                                                                                                     | Borrowing costs                                                   | B3-3  | 59                        | 67                                                 |
| 3,443                                                                                                  | Depreciation, amortisation and impairment of non-financial assets | B3-4  | 5,658                     | 3,923                                              |
| 287                                                                                                    | Other expenses                                                    | B3-5  | 420                       | 332                                                |
| —                                                                                                      | Net loss from the disposal of assets                              | B4-1  | —                         | 116                                                |
| 13,245                                                                                                 | <b>Total expenses from continuing operations</b>                  |       | <b>22,030</b>             | <b>13,210</b>                                      |
| 4,660                                                                                                  | <b>Operating result from continuing operations</b>                |       | <b>9,419</b>              | <b>34,522</b>                                      |
| 4,660                                                                                                  | <b>Net operating result for the year attributable to Council</b>  |       | <b>9,419</b>              | <b>34,522</b>                                      |
| <b>Net operating result for the year before grants and contributions provided for capital purposes</b> |                                                                   |       |                           |                                                    |
| (1,335)                                                                                                |                                                                   |       | 4,890                     | 685                                                |

(1) Restated - see Note G4-1

The above Income Statement should be read in conjunction with the accompanying notes.

## Brewarrina Shire Council

## Statement of Comprehensive Income

for the year ended 30 June 2023

|                                                                                        | Notes | 2023<br>\$ '000 | Restated<br>2022 <sup>1</sup><br>\$ '000 |
|----------------------------------------------------------------------------------------|-------|-----------------|------------------------------------------|
| <b>Net operating result for the year – from Income Statement</b>                       |       | <b>9,419</b>    | <b>34,522</b>                            |
| <b>Other comprehensive income:</b>                                                     |       |                 |                                          |
| Amounts which will not be reclassified subsequently to the operating result            |       |                 |                                          |
| Gain (loss) on revaluation of infrastructure, property, plant and equipment            | C1-6  | <b>9,882</b>    | 19,459                                   |
| <b>Total items which will not be reclassified subsequently to the operating result</b> |       | <b>9,882</b>    | <b>19,459</b>                            |
| <b>Total other comprehensive income for the year</b>                                   |       | <b>9,882</b>    | <b>19,459</b>                            |
| <b>Total comprehensive income for the year attributable to Council</b>                 |       | <b>19,301</b>   | <b>53,981</b>                            |

(1) Restated - see Note G4-1

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

## Brewarrina Shire Council

## Statement of Financial Position

as at 30 June 2023

|                                                      | Notes | 2023<br>\$ '000 | Restated<br>2022 <sup>1</sup><br>\$ '000 | Restated<br>1 July 2021 <sup>1</sup><br>\$ '000 |
|------------------------------------------------------|-------|-----------------|------------------------------------------|-------------------------------------------------|
| <b>ASSETS</b>                                        |       |                 |                                          |                                                 |
| <b>Current assets</b>                                |       |                 |                                          |                                                 |
| Cash and cash equivalents                            | C1-1  | 19,301          | 20,988                                   | 15,847                                          |
| Receivables                                          | C1-3  | 1,077           | 780                                      | 5,542                                           |
| Inventories                                          | C1-4  | 343             | 202                                      | 183                                             |
| Contract assets and contract cost assets             | C1-5  | 9,588           | 2,910                                    | 4,489                                           |
| Non-current assets classified as held for sale       |       | –               | –                                        | 151                                             |
| Other                                                |       | 23              | 26                                       | 109                                             |
| <b>Total current assets</b>                          |       | <b>30,332</b>   | <b>24,906</b>                            | <b>26,321</b>                                   |
| <b>Non-current assets</b>                            |       |                 |                                          |                                                 |
| Infrastructure, property, plant and equipment (IPPE) | C1-6  | 240,713         | 227,659                                  | 176,764                                         |
| <b>Total non-current assets</b>                      |       | <b>240,713</b>  | <b>227,659</b>                           | <b>176,764</b>                                  |
| <b>Total assets</b>                                  |       | <b>271,045</b>  | <b>252,565</b>                           | <b>203,085</b>                                  |
| <b>LIABILITIES</b>                                   |       |                 |                                          |                                                 |
| <b>Current liabilities</b>                           |       |                 |                                          |                                                 |
| Payables                                             | C3-1  | 1,852           | 1,131                                    | 2,278                                           |
| Contract liabilities                                 | C3-2  | 3,322           | 3,766                                    | 7,119                                           |
| Borrowings                                           | C3-3  | 43              | 159                                      | 167                                             |
| Employee benefit provisions                          | C3-4  | 1,093           | 1,098                                    | 917                                             |
| <b>Total current liabilities</b>                     |       | <b>6,310</b>    | <b>6,154</b>                             | <b>10,481</b>                                   |
| <b>Non-current liabilities</b>                       |       |                 |                                          |                                                 |
| Payables                                             | C3-1  | 51              | 51                                       | 46                                              |
| Borrowings                                           | C3-3  | 320             | 1,250                                    | 1,409                                           |
| Employee benefit provisions                          | C3-4  | 31              | 78                                       | 98                                              |
| <b>Total non-current liabilities</b>                 |       | <b>402</b>      | <b>1,379</b>                             | <b>1,553</b>                                    |
| <b>Total liabilities</b>                             |       | <b>6,712</b>    | <b>7,533</b>                             | <b>12,034</b>                                   |
| <b>Net assets</b>                                    |       | <b>264,333</b>  | <b>245,032</b>                           | <b>191,051</b>                                  |
| <b>EQUITY</b>                                        |       |                 |                                          |                                                 |
| Accumulated surplus                                  |       | 173,200         | 163,781                                  | 129,259                                         |
| IPPE revaluation reserve                             | C4-1  | 91,133          | 81,251                                   | 61,792                                          |
| <b>Council equity interest</b>                       |       | <b>264,333</b>  | <b>245,032</b>                           | <b>191,051</b>                                  |
| <b>Total equity</b>                                  |       | <b>264,333</b>  | <b>245,032</b>                           | <b>191,051</b>                                  |

(1) Restated - see Note G4-1

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

## Brewarrina Shire Council

## Statement of Changes in Equity

for the year ended 30 June 2023

|                                                                             | Notes | 2023                |                          |                | 2022                |                          |                  |
|-----------------------------------------------------------------------------|-------|---------------------|--------------------------|----------------|---------------------|--------------------------|------------------|
|                                                                             |       | Accumulated surplus | IPPE revaluation reserve | Total equity   | Accumulated surplus | IPPE revaluation reserve | Total equity     |
|                                                                             |       | \$ '000             | \$ '000                  | \$ '000        | Restated \$ '000    | Restated \$ '000         | Restated \$ '000 |
| Opening balance at 1 July                                                   |       | 162,641             | 81,251                   | 243,892        | 128,067             | 61,792                   | 189,859          |
| Correction of prior period errors                                           | G4-1  | 1,140               | –                        | 1,140          | 1,192               | –                        | 1,192            |
| <b>Restated opening balance</b>                                             |       | <b>163,781</b>      | <b>81,251</b>            | <b>245,032</b> | <b>129,259</b>      | <b>61,792</b>            | <b>191,051</b>   |
| Net operating result for the year                                           |       | 9,419               | –                        | 9,419          | 34,574              | –                        | 34,574           |
| Correction of prior period errors                                           | G4-1  | –                   | –                        | –              | (52)                | –                        | (52)             |
| <b>Net operating result for the period</b>                                  |       | <b>9,419</b>        | <b>–</b>                 | <b>9,419</b>   | <b>34,522</b>       | <b>–</b>                 | <b>34,522</b>    |
| <b>Other comprehensive income</b>                                           |       |                     |                          |                |                     |                          |                  |
| Gain (loss) on revaluation of infrastructure, property, plant and equipment | C1-6  | –                   | 9,882                    | 9,882          | –                   | 19,459                   | 19,459           |
| <b>Other comprehensive income</b>                                           |       | <b>–</b>            | <b>9,882</b>             | <b>9,882</b>   | <b>–</b>            | <b>19,459</b>            | <b>19,459</b>    |
| <b>Total comprehensive income</b>                                           |       | <b>9,419</b>        | <b>9,882</b>             | <b>19,301</b>  | <b>34,522</b>       | <b>19,459</b>            | <b>53,981</b>    |
| <b>Closing balance at 30 June</b>                                           |       | <b>173,200</b>      | <b>91,133</b>            | <b>264,333</b> | <b>163,781</b>      | <b>81,251</b>            | <b>245,032</b>   |

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

## Brewarrina Shire Council

## Statement of Cash Flows

for the year ended 30 June 2023

| Original<br>unaudited<br>budget<br>2023<br>\$ '000 |                                                 | Notes | Actual<br>2023<br>\$ '000 | Actual<br>2022<br>\$ '000 |
|----------------------------------------------------|-------------------------------------------------|-------|---------------------------|---------------------------|
| <b>Cash flows from operating activities</b>        |                                                 |       |                           |                           |
| <b>Receipts:</b>                                   |                                                 |       |                           |                           |
| 2,683                                              | Rates and annual charges                        |       | 2,615                     | 2,465                     |
| 2,589                                              | User charges and fees                           |       | 6,418                     | 1,417                     |
| 76                                                 | Interest received                               |       | 531                       | 79                        |
| 11,937                                             | Grants and contributions                        |       | 13,599                    | 32,853                    |
| –                                                  | Bonds, deposits and retentions received         |       | –                         | 32                        |
| 142                                                | Other                                           |       | 382                       | 803                       |
| <b>Payments:</b>                                   |                                                 |       |                           |                           |
| (4,394)                                            | Payments to employees                           |       | (5,995)                   | (5,366)                   |
| (5,053)                                            | Payments for materials and services             |       | (9,025)                   | (3,844)                   |
| (68)                                               | Borrowing costs                                 |       | (60)                      | (67)                      |
| –                                                  | Bonds, deposits and retentions refunded         |       | (94)                      | –                         |
| (287)                                              | Other                                           |       | (282)                     | (212)                     |
| 7,625                                              | <b>Net cash flows from operating activities</b> | G1-1  | 8,089                     | 28,160                    |
| <b>Cash flows from investing activities</b>        |                                                 |       |                           |                           |
| <b>Receipts:</b>                                   |                                                 |       |                           |                           |
| 80                                                 | Proceeds from sale of IPPE                      |       | 618                       | 14                        |
| <b>Payments:</b>                                   |                                                 |       |                           |                           |
| (1,774)                                            | Payments for IPPE                               |       | (9,348)                   | (22,866)                  |
| (1,694)                                            | <b>Net cash flows from investing activities</b> |       | (8,730)                   | (22,852)                  |
| <b>Cash flows from financing activities</b>        |                                                 |       |                           |                           |
| <b>Payments:</b>                                   |                                                 |       |                           |                           |
| (135)                                              | Repayment of borrowings                         |       | (1,046)                   | (167)                     |
| (135)                                              | <b>Net cash flows from financing activities</b> |       | (1,046)                   | (167)                     |
| 5,796                                              | <b>Net change in cash and cash equivalents</b>  |       | (1,687)                   | 5,141                     |
| 9,380                                              | Cash and cash equivalents at beginning of year  |       | 20,988                    | 15,847                    |
| 15,176                                             | <b>Cash and cash equivalents at end of year</b> | C1-1  | 19,301                    | 20,988                    |

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

# Brewarrina Shire Council

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# Brewarrina Shire Council

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## A About Council and these financial statements

### A1-1 Basis of preparation

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These financial statements were authorised for issue by Council on 25 August 2023. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend the financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (NSW)* and Regulations, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Unless otherwise indicated, all amounts disclosed in the financial statements are actual amounts. Specific budgetary amounts which are not subject to external audit have been included for comparative analysis (to actuals) in the following reports and notes:

- Income statement
- Statement of cash flows
- Note B5-1 – Material budget variations

and are clearly marked.

#### COVID-19

We have assessed the pandemic's impact and responses taken and conclude COVID-19 had a negligible influence on the Council's operations and financial situation at the end of June 2023.

All mandatory and recommended health measures conveyed through the Office of Local Government, NSW Health, and other agencies have been undertaken by Council to protect businesses and individuals.

Council did not identify any potential material adjustments required to be done as a result of the pandemic. Even though the pandemic had a widespread effect on slowing down economies around the world, as at 30 June 2023 it is hard to predict any significant future implications on Council's business. Council's business operations remain on the same pattern. Council is not aware of any post balance sheet date events which would result in separate disclosures or adjustments to the 30 June 2023 financial results. Hence, 30 June 2023 financial statements were prepared on a going concern basis.

#### Domestic and international situation

Widespread volatility caused by international and domestic events in 2022 (war in Ukraine, natural disasters in NSW and nationwide, etc.) has significantly impacted supply chains, labour costs and inflation. With continuing changes in material costs, labour shortages and supply issues there has been a significant increase in amount of discussion and data regarding changes in construction costs. Commodity prices including key construction materials have seen significant increases over the last 3 years. As a result of assessment done, council had performed indexation of its infrastructure assets to ensure their carrying amount is not materially different to fair value as at 30 June 2022.

Rise of the cost of living continued in 2023 financial year. This caused another indexation of infrastructure assets values as at the end of June 2023 (see Note C1-6). Management keeps monitoring ongoing developments on the international and Australian markets and the impact they may have on the financial results and position of the council.

#### Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

## A1-1 Basis of preparation (continued)

### **Significant accounting estimates and judgements**

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

### **Critical accounting estimates and assumptions**

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- (i) estimated fair values of infrastructure, property, plant and equipment – refer Note C1-6 and Note E2-1
- (ii) employee benefit provisions – refer Note C3-4.

### **Significant judgements in applying the Council's accounting policies**

- (i) Impairment of receivables

Council has made a significant judgement about the impairment of a number of its receivables – refer Note C1-3.

## **Monies and other assets received by Council**

### **The Consolidated Fund**

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

- General purpose operations
- Water service
- Sewerage service

### **The Trust Fund**

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

A separate statement of monies held in the Trust Fund is available for inspection at the council office by any person free of charge

### **Goods and Services Tax (GST)**

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to, the taxation authority, are presented as operating cash flows.

## A1-1 Basis of preparation (continued)

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### **New accounting standards and interpretations issued but not yet effective**

#### **New accounting standards and interpretations issued but not yet effective**

Certain new accounting standards and interpretations (ie. pronouncements) have been published by the Australian Accounting Standards Board that are not mandatory for the 30 June 2023 reporting period.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

### **New accounting standards adopted during the year**

During the year Council adopted all accounting standards and interpretations (as issued by the Australian Accounting Standards Board) which were mandatorily effective from the first time at 30 June 2023.

None of the newly adopted standards had a material impact on Council's reported financial position, financial performance and/or associated financial statement disclosures.

## B Financial Performance

### B1 Functions or activities

#### B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

|                                        | Income          |                 | Expenses        |                              | Operating result |                              | Grants and contributions |                 | Carrying amount of assets |                              |
|----------------------------------------|-----------------|-----------------|-----------------|------------------------------|------------------|------------------------------|--------------------------|-----------------|---------------------------|------------------------------|
|                                        | 2023<br>\$ '000 | 2022<br>\$ '000 | 2023<br>\$ '000 | 2022 <sup>1</sup><br>\$ '000 | 2023<br>\$ '000  | 2022 <sup>1</sup><br>\$ '000 | 2023<br>\$ '000          | 2022<br>\$ '000 | 2023<br>\$ '000           | 2022 <sup>1</sup><br>\$ '000 |
| <b>Functions or activities</b>         |                 |                 |                 |                              |                  |                              |                          |                 |                           |                              |
| Governance                             | –               | 4               | 771             | 734                          | (771)            | (730)                        | –                        | –               | –                         | –                            |
| Administration                         | 594             | 13,647          | 3,043           | (70)                         | (2,449)          | 13,717                       | –                        | 13,029          | 39,365                    | 33,054                       |
| Public Order and Safety                | 315             | 78              | 591             | 386                          | (276)            | (308)                        | 188                      | 76              | –                         | –                            |
| Health                                 | 53              | 56              | 126             | 109                          | (73)             | (53)                         | –                        | –               | –                         | –                            |
| Environment                            | 355             | 312             | 700             | 637                          | (345)            | (325)                        | 42                       | 20              | 3,727                     | 3,564                        |
| Community Services and Education       | 524             | 406             | 227             | 430                          | 297              | (24)                         | 402                      | 282             | 26,471                    | 27,211                       |
| Housing and Community Amenities        | 117             | 115             | 447             | 428                          | (330)            | (313)                        | 20                       | 24              | 991                       | 2,240                        |
| Water Supplies                         | 1,152           | 1,137           | 1,452           | 1,449                        | (300)            | (312)                        | –                        | 2               | 16,726                    | 16,004                       |
| Sewerage Services                      | 566             | 492             | 686             | 511                          | (120)            | (19)                         | 5                        | –               | 9,700                     | 9,256                        |
| Recreation and Culture                 | 918             | 1,079           | 1,354           | 1,320                        | (436)            | (241)                        | 898                      | 1,049           | 3,135                     | 3,139                        |
| Mining, Manufacturing and Construction | 1               | 4               | 27              | 45                           | (26)             | (41)                         | –                        | –               | –                         | –                            |
| Transport and Communication            | 17,261          | 21,766          | 11,299          | 6,290                        | 5,962            | 15,476                       | 11,845                   | 21,636          | 170,930                   | 158,097                      |
| Economic Affairs                       | 648             | 818             | 1,298           | 941                          | (650)            | (123)                        | –                        | 337             | –                         | –                            |
| General Purpose Income                 | 8,936           | 7,818           | –               | –                            | 8,936            | 7,818                        | 7,373                    | 6,618           | –                         | –                            |
| <b>Total functions and activities</b>  | <b>31,440</b>   | <b>47,732</b>   | <b>22,021</b>   | <b>13,210</b>                | <b>9,419</b>     | <b>34,522</b>                | <b>20,773</b>            | <b>43,073</b>   | <b>271,045</b>            | <b>252,565</b>               |

(1) Restated - see Note G4-1

## B1-2 Components of functions or activities

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Details relating to the Council's functions or activities as reported in B1-1 are as follows:

### GOVERNANCE

Includes costs relating to Council's role as a component of democratic government, including elections, members' fees and expenses, subscriptions to local authority associations, meetings of Council and policymaking committees, public disclosure (e.g. GIPA), and legislative compliance.

### ADMINISTRATION

Includes corporate support and other support services, engineering works, and any Council policy compliance.

### PUBLIC ORDER AND SAFETY

Includes Council's fire and emergency services levy, fire protection, emergency services, beach control, enforcement of regulations and animal control.

### HEALTH

Includes immunisation, food control, health centres etc.

### ENVIRONMENT

Includes noxious plants and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

### COMMUNITY SERVICES AND EDUCATION

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; children's services, including family day care; child care; and other family and children services.

### HOUSING AND COMMUNITY AMENITIES

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

### WATER SUPPLIES

Includes water supplies to Brewarrina, Angledool and Goodooga.

### SEWERAGE SERVICES

Includes sewerage services to Brewarrina and Goodooga.

### RECREATION AND CULTURE

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; lakes; and other sporting, recreational and cultural services.

### MINING, MANUFACTURING AND CONSTRUCTION

Includes building control, quarries and pits, mineral resources, and abattoirs.

### TRANSPORT AND COMMUNICATION

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

### ECONOMIC AFFAIRS

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; sale yards and markets; real estate development; commercial nurseries; and other business undertakings.

## B2 Sources of income

### B2-1 Rates and annual charges

|                                                                     | 2023<br>\$ '000 | 2022<br>\$ '000 |
|---------------------------------------------------------------------|-----------------|-----------------|
| <b>Ordinary rates</b>                                               |                 |                 |
| Residential                                                         | 104             | 91              |
| Farmland                                                            | 1,000           | 993             |
| Business                                                            | 19              | 19              |
| Less: pensioner rebates (mandatory)                                 | (4)             | (4)             |
| <b>Rates levied to ratepayers</b>                                   | <b>1,119</b>    | <b>1,099</b>    |
| Pensioner rate subsidies received                                   | 2               | 10              |
| <b>Total ordinary rates</b>                                         | <b>1,121</b>    | <b>1,109</b>    |
| <b>Annual charges (pursuant to s496, 496A, 496B, 501 &amp; 611)</b> |                 |                 |
| Domestic waste management services                                  | 234             | 214             |
| Water supply services                                               | 771             | 675             |
| Sewerage services                                                   | 498             | 452             |
| Less: pensioner rebates (mandatory)                                 | (14)            | (14)            |
| <b>Annual charges levied</b>                                        | <b>1,489</b>    | <b>1,327</b>    |
| Pensioner annual charges subsidies received:                        |                 |                 |
| – Water                                                             | 2               | 2               |
| – Sewerage                                                          | 2               | 2               |
| – Domestic waste management                                         | 4               | 4               |
| <b>Total annual charges</b>                                         | <b>1,497</b>    | <b>1,335</b>    |
| <b>Total rates and annual charges</b>                               | <b>2,618</b>    | <b>2,444</b>    |
| <b>Timing of revenue recognition for rates and annual charges</b>   |                 |                 |
| Rates and annual charges recognised at a point in time (2)          | 2,618           | 2,444           |
| <b>Total rates and annual charges</b>                               | <b>2,618</b>    | <b>2,444</b>    |

Council has used 2019 year valuations provided by the NSW Valuer General in calculating its rates.

#### Accounting policy

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area that are not subsidised by the NSW Government.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

## B2-2 User charges and fees

|                                                                              | Timing | 2023<br>\$ '000 | 2022<br>\$ '000 |
|------------------------------------------------------------------------------|--------|-----------------|-----------------|
| <b>Specific user charges (per s502 - specific 'actual use' charges)</b>      |        |                 |                 |
| Water supply services                                                        | 1      | 280             | 362             |
| Waste management services (non-domestic)                                     | 1      | 73              | 59              |
| <b>Total specific user charges</b>                                           |        | <b>353</b>      | <b>421</b>      |
| <b>Other user charges and fees</b>                                           |        |                 |                 |
| <b>(i) Fees and charges – statutory and regulatory functions (per s608)</b>  |        |                 |                 |
| Planning and building regulation                                             | 2      | 1               | 4               |
| Private works – section 67                                                   | 2      | 737             | 442             |
| Regulatory / statutory fees                                                  | 2      | 16              | 21              |
| Section 10.7 certificates (EP&A Act)                                         | 2      | 4               | 5               |
| Section 603 certificates                                                     | 2      | 2               | 3               |
| Other                                                                        | 2      | 1               | 1               |
| <b>Total fees and charges – statutory/regulatory</b>                         |        | <b>761</b>      | <b>476</b>      |
| <b>(ii) Fees and charges – other (incl. general user charges (per s608))</b> |        |                 |                 |
| Centrelink agency fee                                                        | 1      | 69              | 62              |
| Cemeteries                                                                   | 2      | 21              | 30              |
| Community centres                                                            | 2      | 4               | 18              |
| Leaseback fees – Council vehicles                                            | 2      | 44              | 42              |
| Transport for NSW works (state roads not controlled by Council)              | 1      | 5,416           | 248             |
| Sundry sales                                                                 | 2      | 31              | 32              |
| Tourism                                                                      | 2      | 4               | 2               |
| Water connection fees                                                        | 2      | 8               | –               |
| Youth services                                                               | 2      | 21              | 18              |
| <b>Total fees and charges – other</b>                                        |        | <b>5,618</b>    | <b>452</b>      |
| <b>Total other user charges and fees</b>                                     |        | <b>6,379</b>    | <b>928</b>      |
| <b>Total user charges and fees</b>                                           |        | <b>6,732</b>    | <b>1,349</b>    |
| <b>Timing of revenue recognition for user charges and fees</b>               |        |                 |                 |
| User charges and fees recognised over time (1)                               |        | 1,233           | 731             |
| User charges and fees recognised at a point in time (2)                      |        | 5,499           | 618             |
| <b>Total user charges and fees</b>                                           |        | <b>6,732</b>    | <b>1,349</b>    |

### Accounting policy

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

## B2-3 Other revenues

|                                                         | Timing | 2023<br>\$ '000 | 2022<br>\$ '000 |
|---------------------------------------------------------|--------|-----------------|-----------------|
| Legal fees recovery – rates and charges (extra charges) | 2      | 1               | 14              |
| Commissions and agency fees                             | 1      | 51              | 56              |
| Diesel rebate                                           | 2      | 58              | 109             |
| Insurance claims recoveries                             | 2      | 122             | 314             |
| Sales – general                                         |        | –               | 4               |
| Apprenticeships / trainees                              | 2      | –               | 30              |
| OHS incentive/insurance discount                        | 2      | 18              | –               |
| Rebates and Reimbursements                              | 2      | 71              | 37              |
| Other                                                   | 2      | 57              | 53              |
| <b>Total other revenue</b>                              |        | <b>378</b>      | <b>617</b>      |

### Timing of revenue recognition for other revenue

|                                                 |            |            |
|-------------------------------------------------|------------|------------|
| Other revenue recognised over time (1)          | 51         | 56         |
| Other revenue recognised at a point in time (2) | 327        | 561        |
| <b>Total other revenue</b>                      | <b>378</b> | <b>617</b> |

### Accounting policy for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

## B2-4 Grants and contributions

|                                                                            | Notes | Timing | Operating<br>2023<br>\$ '000 | Operating<br>2022<br>\$ '000 | Capital<br>2023<br>\$ '000 | Capital<br>2022<br>\$ '000 |
|----------------------------------------------------------------------------|-------|--------|------------------------------|------------------------------|----------------------------|----------------------------|
| <b>General purpose grants and non-developer contributions (untied)</b>     |       |        |                              |                              |                            |                            |
| <b>General purpose (untied)</b>                                            |       |        |                              |                              |                            |                            |
| <b>Current year allocation</b>                                             |       |        |                              |                              |                            |                            |
| Financial assistance – general component                                   |       | 2      | 1,082                        | 1,878                        | –                          | –                          |
| Financial assistance – local roads component                               |       | 2      | 408                          | 730                          | –                          | –                          |
| <b>Payment in advance - future year allocation</b>                         |       |        |                              |                              |                            |                            |
| Financial assistance – general component                                   |       | 2      | 4,243                        | 2,884                        | –                          | –                          |
| Financial assistance – local roads component                               |       | 2      | 1,640                        | 1,126                        | –                          | –                          |
| <b>Amount recognised as income during current year</b>                     |       |        | <b>7,373</b>                 | <b>6,618</b>                 | <b>–</b>                   | <b>–</b>                   |
| <b>Special purpose grants and non-developer contributions (tied)</b>       |       |        |                              |                              |                            |                            |
| <b>Cash contributions</b>                                                  |       |        |                              |                              |                            |                            |
| Sewerage                                                                   |       | 2      | –                            | –                            | 5                          | –                          |
| Bushfire and emergency services <sup>1</sup>                               |       | 1      | –                            | 72                           | –                          | –                          |
| Community care                                                             |       | 2      | 30                           | –                            | –                          | –                          |
| Heritage and cultural                                                      |       | 2      | 6                            | 11                           | –                          | –                          |
| Library – per capita                                                       |       | 2      | 4                            | 49                           | –                          | –                          |
| Library – special projects                                                 |       | 2      | –                            | –                            | 64                         | 20                         |
| LIRS subsidy                                                               |       | 2      | –                            | –                            | 1                          | 3                          |
| Noxious weeds                                                              |       | 2      | 42                           | 34                           | –                          | –                          |
| Recreation and culture                                                     |       | 1      | 10                           | 17                           | 819                        | 1,303                      |
| NSW rural fire services                                                    |       | 1      | 188                          | –                            | –                          | –                          |
| Storm/flood damage <sup>1</sup>                                            |       | 2      | 3,310                        | 367                          | –                          | (211)                      |
| Community care services                                                    |       | 2      | 236                          | 252                          | –                          | 7                          |
| Street lighting                                                            |       | 2      | 14                           | 13                           | –                          | –                          |
| Transport (roads to recovery)                                              |       | 2      | 200                          | 564                          | –                          | –                          |
| Transport (other roads and bridges funding)                                |       | 1      | –                            | –                            | 3,640                      | 19,679                     |
| Yeta correction centre                                                     |       | 2      | –                            | 4                            | –                          | –                          |
| Community services                                                         |       | 2      | 135                          | 10                           | –                          | –                          |
| Transport for NSW contributions (regional roads, block grant)              |       | 2      | 4,696                        | 1,239                        | –                          | –                          |
| Water supplies (excl. section 64 contributions)                            |       | 2      | –                            | –                            | –                          | 10                         |
| Other                                                                      |       | 2      | –                            | (14)                         | –                          | –                          |
| <b>Total special purpose grants and non-developer contributions – cash</b> |       |        | <b>8,871</b>                 | <b>2,618</b>                 | <b>4,529</b>               | <b>20,811</b>              |
| <b>Non-cash contributions</b>                                              |       |        |                              |                              |                            |                            |
| Yetta correction centre                                                    | C1-6  | 2      | –                            | –                            | –                          | 13,026                     |
| <b>Total other contributions – non-cash</b>                                |       |        | <b>–</b>                     | <b>–</b>                     | <b>–</b>                   | <b>13,026</b>              |
| <b>Total special purpose grants and non-developer contributions (tied)</b> |       |        | <b>8,871</b>                 | <b>2,618</b>                 | <b>4,529</b>               | <b>33,837</b>              |
| <b>Total grants and non-developer contributions</b>                        |       |        | <b>16,244</b>                | <b>9,236</b>                 | <b>4,529</b>               | <b>33,837</b>              |
| <b>Comprising:</b>                                                         |       |        |                              |                              |                            |                            |
| – Commonwealth funding                                                     |       |        | 7,373                        | 7,182                        | 81                         | 1,092                      |
| – State funding                                                            |       |        | 8,871                        | 1,982                        | 4,448                      | 32,092                     |
| – Other funding                                                            |       |        | –                            | 72                           | –                          | 653                        |
|                                                                            |       |        | <b>16,244</b>                | <b>9,236</b>                 | <b>4,529</b>               | <b>33,837</b>              |

## B2-4 Grants and contributions (continued)

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(1) \$367k of AGRN 987 grant income was reclassified in 2022 from Bushfire and emergency services line to Storm/flood damage line

## B2-4 Grants and contributions (continued)

### Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

|                                                                                                                           | Operating<br>2023<br>\$ '000 | Operating<br>2022<br>\$ '000 | Capital<br>2023<br>\$ '000 | Capital<br>2022<br>\$ '000 |
|---------------------------------------------------------------------------------------------------------------------------|------------------------------|------------------------------|----------------------------|----------------------------|
| <b>Unspent grants and contributions</b>                                                                                   |                              |                              |                            |                            |
| Unspent funds at 1 July                                                                                                   | 194                          | 1,047                        | 4,555                      | 7,742                      |
| <b>Add:</b> Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions         | 4,405                        | 349                          | –                          | 292                        |
| <b>Add:</b> Funds received and not recognised as revenue in the current year                                              | 48                           | 167                          | 2,610                      | 4,101                      |
| <b>Less:</b> Funds recognised as revenue in previous years that have been spent during the reporting year                 | (349)                        | (1,369)                      | (292)                      | (291)                      |
| <b>Less:</b> Funds received in prior year but revenue recognised and funds spent in current year                          | (167)                        | –                            | (3,599)                    | (7,289)                    |
| <b>Unspent funds at 30 June</b>                                                                                           | <b>4,131</b>                 | <b>194</b>                   | <b>3,274</b>               | <b>4,555</b>               |
| <b>Contributions</b>                                                                                                      |                              |                              |                            |                            |
| Unspent funds at 1 July                                                                                                   | 2                            | 2                            | –                          | –                          |
| <b>Add:</b> contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions | –                            | –                            | –                          | –                          |
| <b>Less:</b> contributions recognised as revenue in previous years that have been spent during the reporting year         | (2)                          | –                            | –                          | –                          |
| <b>Unspent contributions at 30 June</b>                                                                                   | <b>–</b>                     | <b>2</b>                     | <b>–</b>                   | <b>–</b>                   |

### Accounting policy

#### Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

#### Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

## B2-4 Grants and contributions (continued)

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### **Other grants and contributions**

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

## B2-5 Interest and investment income

|                                                                  | 2023<br>\$ '000 | 2022<br>\$ '000 |
|------------------------------------------------------------------|-----------------|-----------------|
| <b>Interest on financial assets measured at amortised cost</b>   |                 |                 |
| – Overdue rates and annual charges (incl. special purpose rates) | 37              | 32              |
| – Cash and investments                                           | 569             | 92              |
| <b>Total interest and investment income (losses)</b>             | <b>606</b>      | <b>124</b>      |

### Accounting policy

Interest income is recognised using the effective interest rate at the date that interest is earned. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

## B2-6 Other income

|                                 | Notes | 2023<br>\$ '000 | 2022<br>\$ '000 |
|---------------------------------|-------|-----------------|-----------------|
| <b>Rental income</b>            |       |                 |                 |
| <b>Other lease income</b>       |       |                 |                 |
| Hire of Council owned property  |       | 143             | 125             |
| <b>Total other lease income</b> |       | <b>143</b>      | <b>125</b>      |
| <b>Total rental income</b>      | C2-2  | <b>143</b>      | <b>125</b>      |
| <b>Total other income</b>       |       | <b>143</b>      | <b>125</b>      |

## B3 Costs of providing services

### B3-1 Employee benefits and on-costs

|                                                                                | 2023<br>\$ '000 | 2022<br>\$ '000 |
|--------------------------------------------------------------------------------|-----------------|-----------------|
| Salaries and wages                                                             | 4,927           | 5,292           |
| Employee leave entitlements (ELE)                                              | 743             | 985             |
| Superannuation                                                                 | 500             | 490             |
| Workers' compensation insurance                                                | 269             | 356             |
| Fringe benefit tax (FBT)                                                       | 72              | 71              |
| Protective clothing                                                            | 1               | —               |
| <b>Total employee costs</b>                                                    | <b>6,512</b>    | <b>7,194</b>    |
| Less: capitalised costs                                                        | (553)           | (1,677)         |
| <b>Total employee costs expensed</b>                                           | <b>5,959</b>    | <b>5,517</b>    |
| Number of 'full-time equivalent' employees (FTE) at year end                   | 67              | 72              |
| Number of 'full-time equivalent' employees (FTE) at year end (incl. vacancies) | 74              | 79              |

#### Accounting policy

Employee benefit expenses are recorded when the service has been provided by the employee.

#### Retirement benefit obligations

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

#### Superannuation plans

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

## B3-2 Materials and services

|                                                     | Notes | 2023<br>\$ '000 | 2022<br>\$ '000 |
|-----------------------------------------------------|-------|-----------------|-----------------|
| Raw materials and consumables                       |       | 6,670           | 505             |
| Contractor costs                                    |       | 438             | 210             |
| Audit Fees                                          | F2-1  | 73              | 64              |
| <b>Previously other expenses:</b>                   |       |                 |                 |
| Councillor and Mayoral fees and associated expenses | F1-2  | 159             | 148             |
| Advertising                                         |       | 42              | 49              |
| Bank charges                                        |       | 3               | 5               |
| Cleaning                                            |       | 177             | 126             |
| Computer software charges                           |       | 174             | 158             |
| Election expenses                                   |       | –               | 25              |
| Electricity and heating                             |       | 209             | 199             |
| Insurance                                           |       | 573             | 428             |
| Postage                                             |       | 6               | 9               |
| Printing and stationery                             |       | 21              | 31              |
| Street lighting                                     |       | 38              | 67              |
| Subscriptions and publications                      |       | 122             | 137             |
| Telephone and communications                        |       | 58              | 51              |
| Valuation fees                                      |       | 10              | 9               |
| Yetta Farm operations                               |       | 87              | 97              |
| Travel expenses                                     |       | 64              | 89              |
| Registration costs                                  |       | 129             | 143             |
| Training costs (other than salaries and wages)      |       | 191             | 166             |
| Other expenses                                      |       | 367             | 248             |
| Aboriginal Communities Program Costs                |       | 319             | 278             |
| <b>Legal expenses:</b>                              |       |                 |                 |
| – Legal expenses: debt recovery                     |       | 4               | 13              |
| <b>Total materials and services</b>                 |       | <b>9,934</b>    | <b>3,255</b>    |
| <b>Total materials and services</b>                 |       | <b>9,934</b>    | <b>3,255</b>    |

## B3-3 Borrowing costs

### Interest bearing liability costs

|                                               |           |           |
|-----------------------------------------------|-----------|-----------|
| Interest on loans                             | 59        | 67        |
| <b>Total interest bearing liability costs</b> | <b>59</b> | <b>67</b> |
| <b>Total borrowing costs expensed</b>         | <b>59</b> | <b>67</b> |

### Accounting policy

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed as incurred.

## B3-4 Depreciation, amortisation and impairment of non-financial assets

|                                                                                 |       | 2023         | 2022 <sup>1</sup>   |
|---------------------------------------------------------------------------------|-------|--------------|---------------------|
|                                                                                 | Notes | \$ '000      | Restated<br>\$ '000 |
| <b>Depreciation and amortisation</b>                                            |       |              |                     |
| Plant and equipment                                                             |       | 1,584        | 1,447               |
| Office equipment                                                                |       | 57           | 51                  |
| Furniture and fittings                                                          |       | 6            | 10                  |
| <b>Infrastructure:</b>                                                          | C1-6  |              |                     |
| – Buildings – non-specialised                                                   |       | 57           | 38                  |
| – Buildings – specialised                                                       |       | 611          | 319                 |
| – Other structures                                                              |       | 348          | 111                 |
| – Roads                                                                         |       | 2,048        | 1,531               |
| – Bridges                                                                       |       | 221          | 205                 |
| – Footpaths                                                                     |       | 43           | 32                  |
| – Stormwater drainage                                                           |       | 24           | 23                  |
| – Water supply network                                                          |       | 472          | 542                 |
| – Sewerage network                                                              |       | 279          | 195                 |
| – Swimming pools                                                                |       | 71           | 60                  |
| – Bulk earthworks – levee bank                                                  |       | 45           | 40                  |
| – Airport                                                                       |       | 61           | 54                  |
| – Other open space/recreational assets                                          |       | 26           | 22                  |
| Less: capitalised costs                                                         |       | (295)        | (757)               |
| <b>Total depreciation and amortisation costs</b>                                |       | <b>5,658</b> | <b>3,923</b>        |
| <b>Total depreciation, amortisation and impairment for non-financial assets</b> |       | <b>5,658</b> | <b>3,923</b>        |

### Accounting policy

#### Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note C1-6 for IPPE assets.

Depreciation is capitalised where in-house assets have contributed to new assets.

(1) Restated - see Note G4-1

### B3-5 Other expenses

|                                                                              | Notes | 2023<br>\$ '000 | 2022<br>\$ '000 |
|------------------------------------------------------------------------------|-------|-----------------|-----------------|
| <b>Impairment of receivables</b>                                             |       |                 |                 |
| Other                                                                        |       | 100             | 83              |
| <b>Total impairment of receivables</b>                                       | C1-3  | <b>100</b>      | <b>83</b>       |
| <b>Other</b>                                                                 |       |                 |                 |
| Contributions/levies to other levels of government                           |       |                 |                 |
| – NSW fire brigade levy                                                      |       | 29              | 19              |
| – NSW rural fire service levy                                                |       | 237             | 149             |
| Donations, contributions and assistance to other organisations (Section 356) |       | –               | 28              |
| – Moree regional library                                                     |       | 54              | 53              |
| <b>Total other</b>                                                           |       | <b>320</b>      | <b>249</b>      |
| <b>Total other expenses</b>                                                  |       | <b>420</b>      | <b>332</b>      |

#### Accounting policy

Other expenses are recorded on an accruals basis when Council has an obligation for the expenses.

Impairment expenses are recognised when identified.

**B4 Gains or losses****B4-1 Gain or loss from the disposal, replacement and de-recognition of assets**

|                                                                      | Notes | 2023<br>\$ '000 | 2022<br>\$ '000 |
|----------------------------------------------------------------------|-------|-----------------|-----------------|
| <b>Gain (or loss) on disposal of plant and equipment</b>             | C1-6  |                 |                 |
| Proceeds from disposal – plant and equipment                         |       | 505             | 12              |
| Less: carrying amount of plant and equipment assets sold/written off |       | (117)           | (119)           |
| <b>Gain (or loss) on disposal</b>                                    |       | <b>388</b>      | <b>(107)</b>    |
| <b>Gain (or loss) on disposal of infrastructure</b>                  | C1-6  |                 |                 |
| Proceeds from disposal of infrastructures                            |       | 113             | 2               |
| Less: carrying amount of infrastructure assets sold/written off      |       | (302)           | (11)            |
| <b>Gain (or loss) on disposal</b>                                    |       | <b>(189)</b>    | <b>(9)</b>      |
| <b>Net gain (or loss) from disposal of assets</b>                    |       | <b>199</b>      | <b>(116)</b>    |

**Accounting policy**

Gains and losses on disposals are determined by comparing proceeds with carrying amount. The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is de-recognised.

## B5 Performance against budget

### B5-1 Material budget variations

Council's original budget was adopted by the Council on 24 June 2022 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

**Material variations of more than 10%** between original budget and actual results or where the variance is considered material by nature are explained below.

**Variation Key:** **F** = Favourable budget variation, **U** = Unfavourable budget variation.

| \$ '000                                                                                                                                                                   | 2023<br>Budget | 2023<br>Actual | 2023<br>----- Variance ----- |       |   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|------------------------------|-------|---|
| Revenues                                                                                                                                                                  |                |                |                              |       |   |
| Rates and annual charges                                                                                                                                                  | 2,683          | 2,618          | (65)                         | (2)%  | U |
| User charges and fees                                                                                                                                                     | 2,589          | 6,732          | 4,143                        | 160%  | F |
| Mostly due to increased amount of emergency works on state roads under RMCC contracts.                                                                                    |                |                |                              |       |   |
| Other revenues                                                                                                                                                            | 398            | 378            | (20)                         | (5)%  | U |
| Operating grants and contributions                                                                                                                                        | 5,942          | 16,244         | 10,302                       | 173%  | F |
| Mostly due to increased flood recovery grants received in the current year.                                                                                               |                |                |                              |       |   |
| Capital grants and contributions                                                                                                                                          | 5,995          | 4,529          | (1,466)                      | (24)% | U |
| The planned capital works were deferred as resources were diverted to flood damage repairs. As a result, the recognition of capital contributions is lower than budgeted. |                |                |                              |       |   |
| Interest and investment revenue                                                                                                                                           | 76             | 606            | 530                          | 697%  | F |
| Increase in actual interest rates.Hard to budget.                                                                                                                         |                |                |                              |       |   |
| Net gains from disposal of assets                                                                                                                                         | 80             | 199            | 119                          | 149%  | F |
| Due to effect from sale of Yetta plants and buildings. Hard to budget.                                                                                                    |                |                |                              |       |   |
| Other income                                                                                                                                                              | 142            | 143            | 1                            | 1%    | F |
| Expenses                                                                                                                                                                  |                |                |                              |       |   |
| Employee benefits and on-costs                                                                                                                                            | 4,394          | 5,959          | (1,565)                      | (36)% | U |
| Actual capitalisation of employee costs is less than budgeted.                                                                                                            |                |                |                              |       |   |
| Materials and services                                                                                                                                                    | 5,053          | 9,934          | (4,881)                      | (97)% | U |
| Non-budgeted expenses for floods and natural disasters recovery.                                                                                                          |                |                |                              |       |   |
| Borrowing costs                                                                                                                                                           | 68             | 59             | 9                            | 13%   | F |
| Unbudgeted pay-off of two loans caused decrease in actual borrowing costs.                                                                                                |                |                |                              |       |   |
| Depreciation, amortisation and impairment of non-financial assets                                                                                                         | 3,443          | 5,658          | (2,215)                      | (64)% | U |
| Due to increased depreciation as a result of indexation of assets in previous financial year as well as significant value of contributed Yetta assets.                    |                |                |                              |       |   |
| Other expenses                                                                                                                                                            | 287            | 420            | (133)                        | (46)% | U |
| Mostly due to extra provision for bad debt which is hard to budget.                                                                                                       |                |                |                              |       |   |

## B5-1 Material budget variations (continued)

| \$ '000                                                                 | 2023<br>Budget | 2023<br>Actual | 2023<br>----- Variance ----- |               |
|-------------------------------------------------------------------------|----------------|----------------|------------------------------|---------------|
| <b>Statement of cash flows</b>                                          |                |                |                              |               |
| <b>Cash flows from operating activities</b>                             | <b>7,625</b>   | <b>8,089</b>   | <b>464</b>                   | <b>6% F</b>   |
| <b>Cash flows from investing activities</b>                             | <b>(1,694)</b> | <b>(8,730)</b> | <b>(7,036)</b>               | <b>415% U</b> |
| More actual capital jobs were completed earlier, that was not budgeted. |                |                |                              |               |
| <b>Cash flows from financing activities</b>                             | <b>(135)</b>   | <b>(1,046)</b> | <b>(911)</b>                 | <b>675% U</b> |
| Unbudgeted repayment of two loans.                                      |                |                |                              |               |

## C Financial position

### C1 Assets we manage

#### C1-1 Cash and cash equivalents

|                                        | 2023<br>\$ '000 | 2022 <sup>1</sup><br>\$ '000 |
|----------------------------------------|-----------------|------------------------------|
| <b>Cash assets</b>                     |                 |                              |
| Cash on hand and at bank               | 154             | 288                          |
| Cash equivalent assets                 |                 |                              |
| – Deposits at call                     | 6,147           | 3,700                        |
| – Short-term deposits                  | 13,000          | 17,000                       |
| <b>Total cash and cash equivalents</b> | <b>19,301</b>   | <b>20,988</b>                |

(1) In 2022 the \$1,700,000 of investments were reclassified from short-term deposits to deposits at call.

#### Reconciliation of cash and cash equivalents

|                                                                     |               |               |
|---------------------------------------------------------------------|---------------|---------------|
| Total cash and cash equivalents per Statement of Financial Position | 19,301        | 20,988        |
| <b>Balance as per the Statement of Cash Flows</b>                   | <b>19,301</b> | <b>20,988</b> |

#### Accounting policy

For Statement of Cash Flow presentation purposes, cash and cash equivalents include: cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

## C1-2 Restricted and allocated cash, cash equivalents and investments

|                                                                                          | 2023<br>\$ '000 | 2022<br>\$ '000 |
|------------------------------------------------------------------------------------------|-----------------|-----------------|
| (a) Externally restricted cash, cash equivalents and investments                         |                 |                 |
| <b>Total cash, cash equivalents and investments</b>                                      | <b>19,301</b>   | <b>20,988</b>   |
| Less: Externally restricted cash, cash equivalents and investments                       | <b>(10,728)</b> | <b>(8,441)</b>  |
| <b>Cash, cash equivalents and investments not subject to external restrictions</b>       | <b>8,573</b>    | <b>12,547</b>   |
| <b>External restrictions</b>                                                             |                 |                 |
| <b>External restrictions – included in liabilities</b>                                   |                 |                 |
| External restrictions included in cash, cash equivalents and investments above comprise: |                 |                 |
| Specific purpose unexpended grants – general fund                                        | <b>3,302</b>    | <b>3,766</b>    |
| Specific purpose unexpended grants – sewer fund                                          | <b>20</b>       | <b>–</b>        |
| <b>External restrictions – included in liabilities</b>                                   | <b>3,322</b>    | <b>3,766</b>    |
| <b>External restrictions – other</b>                                                     |                 |                 |
| External restrictions included in cash, cash equivalents and investments above comprise: |                 |                 |
| Specific purpose unexpended grants – (GF)                                                | <b>4,083</b>    | <b>985</b>      |
| Water supplies – (bank)                                                                  | <b>2,204</b>    | <b>2,033</b>    |
| Sewerage services – (bank)                                                               | <b>967</b>      | <b>1,590</b>    |
| Domestic waste management                                                                | <b>152</b>      | <b>67</b>       |
| <b>External restrictions – other</b>                                                     | <b>7,406</b>    | <b>4,675</b>    |
| <b>Total external restrictions</b>                                                       | <b>10,728</b>   | <b>8,441</b>    |

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

## C1-2 Restricted and allocated cash, cash equivalents and investments (continued)

|  | 2023<br>\$ '000 | 2022<br>\$ '000 |
|--|-----------------|-----------------|
|--|-----------------|-----------------|

## (b) Internal allocations

**Cash, cash equivalents and investments not subject to external restrictions**

|              |               |
|--------------|---------------|
| <b>8,573</b> | <b>12,547</b> |
|--------------|---------------|

Less: Internally restricted cash, cash equivalents and investments

|                |                 |
|----------------|-----------------|
| <b>(8,008)</b> | <b>(12,107)</b> |
|----------------|-----------------|

**Unrestricted and unallocated cash, cash equivalents and investments**

|            |            |
|------------|------------|
| <b>565</b> | <b>440</b> |
|------------|------------|

**Internal allocations**

At 30 June, Council has internally allocated funds to the following:

|                                              |              |               |
|----------------------------------------------|--------------|---------------|
| Infrastructure replacement                   | <b>1,000</b> | 7,000         |
| Employees leave entitlement                  | <b>1,124</b> | 1,097         |
| Prepaid financial assistance grant – general | <b>4,243</b> | 2,884         |
| Prepaid financial assistance grant – roads   | <b>1,641</b> | 1,126         |
| <b>Total internal allocations</b>            | <b>8,008</b> | <b>12,107</b> |

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

|  | 2023<br>\$ '000 | 2022<br>\$ '000 |
|--|-----------------|-----------------|
|--|-----------------|-----------------|

## (c) Unrestricted and unallocated

|                                                                            |            |            |
|----------------------------------------------------------------------------|------------|------------|
| <b>Unrestricted and unallocated cash, cash equivalents and investments</b> | <b>565</b> | <b>440</b> |
|----------------------------------------------------------------------------|------------|------------|

## C1-3 Receivables

|                                                     | 2023<br>Current<br>\$ '000 | 2023<br>Non-current<br>\$ '000 | 2022<br>Current<br>\$ '000 | 2022<br>Non-current<br>\$ '000 |
|-----------------------------------------------------|----------------------------|--------------------------------|----------------------------|--------------------------------|
| Rates and annual charges                            | 591                        | –                              | 511                        | –                              |
| Interest and extra charges                          | 203                        | –                              | 113                        | –                              |
| User charges and fees                               | 639                        | –                              | 521                        | –                              |
| Private works                                       | 12                         | –                              | –                          | –                              |
| Accrued revenues                                    |                            |                                |                            |                                |
| – Interest on investments                           | 54                         | –                              | 49                         | –                              |
| Government grants and subsidies                     | 99                         | –                              | 47                         | –                              |
| Net GST receivable                                  | 171                        | –                              | 135                        | –                              |
| Other debtors                                       | 3                          | –                              | –                          | –                              |
| <b>Total</b>                                        | <b>1,772</b>               | <b>–</b>                       | <b>1,376</b>               | <b>–</b>                       |
| <b>Less: provision for impairment</b>               |                            |                                |                            |                                |
| Rates and annual charges                            | (450)                      | –                              | (373)                      | –                              |
| Interest and extra charges                          | (110)                      | –                              | (90)                       | –                              |
| User charges and fees                               | (135)                      | –                              | (133)                      | –                              |
| <b>Total provision for impairment – receivables</b> | <b>(695)</b>               | <b>–</b>                       | <b>(596)</b>               | <b>–</b>                       |
| <b>Total net receivables</b>                        | <b>1,077</b>               | <b>–</b>                       | <b>780</b>                 | <b>–</b>                       |
| <b>Externally restricted receivables</b>            |                            |                                |                            |                                |
| <b>Water supply</b>                                 |                            |                                |                            |                                |
| – Rates and availability charges                    | 251                        | –                              | 305                        | –                              |
| <b>Sewerage services</b>                            |                            |                                |                            |                                |
| – Rates and availability charges                    | 60                         | –                              | 59                         | –                              |
| <b>Domestic waste management</b>                    | 86                         | –                              | 98                         | –                              |
| <b>Total external restrictions</b>                  | <b>397</b>                 | <b>–</b>                       | <b>462</b>                 | <b>–</b>                       |
| <b>Unrestricted receivables</b>                     | <b>680</b>                 | <b>–</b>                       | <b>318</b>                 | <b>–</b>                       |
| <b>Total net receivables</b>                        | <b>1,077</b>               | <b>–</b>                       | <b>780</b>                 | <b>–</b>                       |

|                                                                               | 2023<br>\$ '000 | 2022<br>\$ '000 |
|-------------------------------------------------------------------------------|-----------------|-----------------|
| <b>Movement in provision for impairment of receivables</b>                    |                 |                 |
| Balance at the beginning of the year (calculated in accordance with AASB 139) | 596             | 524             |
| + new provisions recognised during the year                                   | 99              | 72              |
| <b>Balance at the end of the year</b>                                         | <b>695</b>      | <b>596</b>      |

## C1-3 Receivables (continued)

### Accounting policy

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

### Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 30 days past due has seen a significant increase in credit risk.

The Council uses the presentation that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 5 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Rates and annual charges outstanding are secured against the property.

## C1-4 Inventories

|                                  | 2023<br>Current<br>\$ '000 | 2023<br>Non-current<br>\$ '000 | 2022<br>Current<br>\$ '000 | 2022<br>Non-current<br>\$ '000 |
|----------------------------------|----------------------------|--------------------------------|----------------------------|--------------------------------|
| <b>(i) Inventories at cost</b>   |                            |                                |                            |                                |
| Stores and materials             | 343                        | —                              | 202                        | —                              |
| <b>Total inventories at cost</b> | <b>343</b>                 | <b>—</b>                       | <b>202</b>                 | <b>—</b>                       |
| <b>Total inventories</b>         | <b>343</b>                 | <b>—</b>                       | <b>202</b>                 | <b>—</b>                       |

### Accounting policy

#### Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

## C1-5 Contract assets

|                              | 2023<br>Current<br>\$ '000 | 2023<br>Non-current<br>\$ '000 | 2022<br>Current<br>\$ '000 | 2022<br>Non-current<br>\$ '000 |
|------------------------------|----------------------------|--------------------------------|----------------------------|--------------------------------|
| Contract assets              | 9,588                      | —                              | 2,910                      | —                              |
| <b>Total contract assets</b> | <b>9,588</b>               | <b>—</b>                       | <b>2,910</b>               | <b>—</b>                       |

### Contract assets

|                                                                     |              |          |              |          |
|---------------------------------------------------------------------|--------------|----------|--------------|----------|
| Contract Assets under AASB 15 <sup>1</sup>                          | 4,605        | —        | 542          | —        |
| Grant Contract Asset under AASB 1058 (asset exemption) <sup>1</sup> | 2,484        | —        | 2,001        | —        |
| Accrued Income under AASB 1058                                      | 2,499        | —        | 367          | —        |
| <b>Total contract assets</b>                                        | <b>9,588</b> | <b>—</b> | <b>2,910</b> | <b>—</b> |

### Significant changes in contract assets

#### Contract Assets relating to work for external parties (AASB 15)

Nature disasters recoveries on state roads under RMCC contracts.

#### Grant Contract Assets - work related to infrastructure grants (AASB 1058 - Asset Exemption)

No significant changes.

#### Accrued Income (AASB 1058)

Increase is a result of accrual for works performed in 2023 financial year to remediate damages caused by 2022 floods.

(1) Contract assets and grant contract assets were reclassified by \$483,000 in 2022.

## Accounting policy

### Contract assets

Contract assets represent Councils right to payment in exchange for goods or services the Council has transferred to a customer when that right is conditional on something other than the passage of time.

Contract assets arise when the amounts billed to customers are based on the achievement of various milestones established in the contract and therefore the amounts recognised as revenue in a given period do not necessarily coincide with the amounts billed to or certified by the customer. Once an invoice or payment claim is raised or the relevant milestone is reached, Council recognises a receivable.

Impairment of contract assets is assessed using the simplified expected credit loss model where lifetime credit losses are recognised on initial recognition.

## C1-6 Infrastructure, property, plant and equipment

| By aggregated<br>asset class                                   | At 1 July 2022 <sup>1</sup>           |                                                            |                                        | Asset movements during the reporting period |                         |                                   |                         |               |                                                 |                                              | At 30 June 2023                       |                                                            |                           |
|----------------------------------------------------------------|---------------------------------------|------------------------------------------------------------|----------------------------------------|---------------------------------------------|-------------------------|-----------------------------------|-------------------------|---------------|-------------------------------------------------|----------------------------------------------|---------------------------------------|------------------------------------------------------------|---------------------------|
|                                                                | Gross carrying<br>amount <sup>1</sup> | Accumulated<br>depreciation<br>and impairment <sub>1</sub> | Net<br>carrying<br>amount <sup>1</sup> | Additions<br>renewals <sup>2</sup>          | Additions new<br>assets | Carrying<br>value of<br>disposals | Depreciation<br>expense | WIP transfers | Revaluation<br>decrements<br>to equity<br>(ARR) | Revaluation<br>increments to<br>equity (ARR) | Gross carrying<br>amount <sup>1</sup> | Accumulated<br>depreciation<br>and impairment <sub>1</sub> | Net<br>carrying<br>amount |
|                                                                | \$ '000                               | \$ '000                                                    | \$ '000                                | \$ '000                                     | \$ '000                 | \$ '000                           | \$ '000                 | \$ '000       | \$ '000                                         | \$ '000                                      | \$ '000                               | \$ '000                                                    | \$ '000                   |
| Capital work in progress                                       | 502                                   | —                                                          | 502                                    | —                                           | 1,065                   | —                                 | —                       | (233)         | —                                               | —                                            | 1,334                                 | —                                                          | 1,334                     |
| Plant and equipment                                            | 12,725                                | (6,717)                                                    | 6,008                                  | —                                           | 685                     | (117)                             | (1,584)                 | —             | —                                               | —                                            | 12,622                                | (7,630)                                                    | 4,992                     |
| Office equipment                                               | 466                                   | (273)                                                      | 193                                    | —                                           | —                       | —                                 | (57)                    | —             | —                                               | —                                            | 466                                   | (330)                                                      | 136                       |
| Furniture and fittings                                         | 176                                   | (155)                                                      | 21                                     | —                                           | —                       | —                                 | (6)                     | —             | —                                               | —                                            | 176                                   | (161)                                                      | 15                        |
| <b>Land:</b>                                                   |                                       |                                                            |                                        |                                             |                         |                                   |                         |               |                                                 |                                              |                                       |                                                            |                           |
| – Operational land                                             | 1,632                                 | —                                                          | 1,632                                  | —                                           | —                       | —                                 | —                       | —             | —                                               | 237                                          | 1,869                                 | —                                                          | 1,869                     |
| – Community land                                               | 228                                   | —                                                          | 228                                    | —                                           | —                       | —                                 | —                       | —             | —                                               | 134                                          | 362                                   | —                                                          | 362                       |
| <b>Infrastructure:</b>                                         |                                       |                                                            |                                        |                                             |                         |                                   |                         |               |                                                 |                                              |                                       |                                                            |                           |
| – Buildings – non-specialised                                  | 2,391                                 | (161)                                                      | 2,230                                  | —                                           | —                       | —                                 | (57)                    | —             | (138)                                           | —                                            | 3,446                                 | (1,411)                                                    | 2,035                     |
| – Buildings – specialised                                      | 37,626                                | (9,636)                                                    | 27,990                                 | —                                           | —                       | (302)                             | (611)                   | 137           | (1,594)                                         | —                                            | 36,008                                | (10,388)                                                   | 25,620                    |
| – Other structures                                             | 6,890                                 | (2,183)                                                    | 4,707                                  | 85                                          | 474                     | —                                 | (348)                   | 96            | —                                               | 222                                          | 7,898                                 | (2,662)                                                    | 5,236                     |
| – Roads                                                        | 156,144                               | (21,954)                                                   | 134,190                                | 1,620                                       | 5,300                   | —                                 | (2,048)                 | —             | —                                               | 7,809                                        | 172,298                               | (25,427)                                                   | 146,871                   |
| – Bridges                                                      | 22,743                                | (5,420)                                                    | 17,323                                 | —                                           | —                       | —                                 | (221)                   | —             | —                                               | 1,011                                        | 24,088                                | (5,975)                                                    | 18,113                    |
| – Footpaths                                                    | 2,890                                 | (752)                                                      | 2,138                                  | —                                           | 302                     | —                                 | (43)                    | —             | —                                               | 124                                          | 3,363                                 | (842)                                                      | 2,521                     |
| – Bulk earthworks – levee bank                                 | 6,127                                 | (2,563)                                                    | 3,564                                  | —                                           | —                       | —                                 | (45)                    | —             | —                                               | 208                                          | 6,489                                 | (2,762)                                                    | 3,727                     |
| – Stormwater drainage                                          | 1,718                                 | (1,044)                                                    | 674                                    | —                                           | —                       | —                                 | (24)                    | —             | —                                               | 50                                           | 1,850                                 | (1,150)                                                    | 700                       |
| – Water supply network                                         | 22,800                                | (9,358)                                                    | 13,442                                 | —                                           | —                       | —                                 | (472)                   | —             | —                                               | 1,000                                        | 24,558                                | (10,588)                                                   | 13,970                    |
| – Sewerage network                                             | 13,023                                | (5,576)                                                    | 7,447                                  | —                                           | —                       | —                                 | (279)                   | —             | —                                               | 553                                          | 14,027                                | (6,306)                                                    | 7,721                     |
| – Swimming pools                                               | 2,907                                 | (1,209)                                                    | 1,698                                  | 5                                           | —                       | —                                 | (71)                    | —             | —                                               | 83                                           | 3,061                                 | (1,346)                                                    | 1,715                     |
| – Other open space/recreational<br>assets                      | 1,273                                 | (147)                                                      | 1,126                                  | 8                                           | —                       | —                                 | (26)                    | —             | —                                               | 56                                           | 1,347                                 | (183)                                                      | 1,164                     |
| – Airport                                                      | 4,399                                 | (1,853)                                                    | 2,546                                  | —                                           | —                       | —                                 | (61)                    | —             | —                                               | 127                                          | 4,623                                 | (2,011)                                                    | 2,612                     |
| <b>Total infrastructure, property,<br/>plant and equipment</b> | <b>296,660</b>                        | <b>(69,001)</b>                                            | <b>227,659</b>                         | <b>1,718</b>                                | <b>7,826</b>            | <b>(419)</b>                      | <b>(5,953)</b>          | <b>—</b>      | <b>(1,732)</b>                                  | <b>11,614</b>                                | <b>319,885</b>                        | <b>(79,172)</b>                                            | <b>240,713</b>            |

(1) Restated - see Note G4-1

(2) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

## C1-6 Infrastructure, property, plant and equipment (continued)

| By aggregated asset class                                  | At 1 July 2021 <sup>1</sup>        |                                                      |                                  | Asset movements during the reporting period |                      |                             |                                   |               |                              |                                        | At 30 June 2022 <sup>1</sup>       |                                                      |                                  |
|------------------------------------------------------------|------------------------------------|------------------------------------------------------|----------------------------------|---------------------------------------------|----------------------|-----------------------------|-----------------------------------|---------------|------------------------------|----------------------------------------|------------------------------------|------------------------------------------------------|----------------------------------|
|                                                            | Gross carrying amount <sup>1</sup> | Accumulated depreciation and impairment <sub>t</sub> | Net carrying amount <sup>1</sup> | Additions renewals <sup>2</sup>             | Additions new assets | Carrying value of disposals | Depreciation expense <sup>1</sup> | WIP transfers | Contributed (from Note B2-4) | Revaluation increments to equity (ARR) | Gross carrying amount <sup>1</sup> | Accumulated depreciation and impairment <sub>t</sub> | Net carrying amount <sup>1</sup> |
|                                                            | \$ '000                            | \$ '000                                              | \$ '000                          | \$ '000                                     | \$ '000              | \$ '000                     | \$ '000                           | \$ '000       | \$ '000                      | \$ '000                                | \$ '000                            | \$ '000                                              | \$ '000                          |
| Capital work in progress                                   | 2,975                              | –                                                    | 2,975                            | 70                                          | 174                  | –                           | –                                 | (2,717)       | –                            | –                                      | 502                                | –                                                    | 502                              |
| Plant and equipment                                        | 11,527                             | (5,299)                                              | 6,228                            | 1,028                                       | 13                   | (119)                       | (1,447)                           | –             | 305                          | –                                      | 12,725                             | (6,717)                                              | 6,008                            |
| Office equipment                                           | 443                                | (223)                                                | 220                              | 24                                          | –                    | –                           | (51)                              | –             | –                            | –                                      | 466                                | (273)                                                | 193                              |
| Furniture and fittings                                     | 176                                | (145)                                                | 31                               | –                                           | –                    | –                           | (10)                              | –             | –                            | –                                      | 176                                | (155)                                                | 21                               |
| <b>Land:</b>                                               |                                    |                                                      |                                  |                                             |                      |                             |                                   |               |                              |                                        |                                    |                                                      |                                  |
| – Operational land                                         | 748                                | –                                                    | 748                              | –                                           | –                    | (1)                         | –                                 | –             | 790                          | 95                                     | 1,632                              | –                                                    | 1,632                            |
| – Community land                                           | 202                                | –                                                    | 202                              | –                                           | –                    | –                           | –                                 | –             | –                            | 26                                     | 228                                | –                                                    | 228                              |
| <b>Infrastructure:</b>                                     |                                    |                                                      |                                  |                                             |                      |                             |                                   |               |                              |                                        |                                    |                                                      |                                  |
| – Buildings – non-specialised                              | 1,476                              | (99)                                                 | 1,377                            | –                                           | 342                  | –                           | (38)                              | 325           | –                            | 224                                    | 2,391                              | (161)                                                | 2,230                            |
| – Buildings – specialised                                  | 20,745                             | (5,366)                                              | 15,379                           | 447                                         | –                    | (10)                        | (319)                             | 226           | 9,837                        | 2,430                                  | 37,626                             | (9,636)                                              | 27,990                           |
| – Other structures                                         | 2,345                              | (704)                                                | 1,641                            | 84                                          | 219                  | –                           | (111)                             | 641           | 2,094                        | 139                                    | 6,890                              | (2,183)                                              | 4,707                            |
| – Roads                                                    | 121,405                            | (18,281)                                             | 103,124                          | 20,366                                      | –                    | –                           | (1,531)                           | 1,251         | –                            | 10,980                                 | 156,144                            | (21,954)                                             | 134,190                          |
| – Bridges                                                  | 20,525                             | (4,686)                                              | 15,839                           | –                                           | –                    | –                           | (205)                             | –             | –                            | 1,689                                  | 22,743                             | (5,420)                                              | 17,323                           |
| – Footpaths                                                | 2,561                              | (647)                                                | 1,914                            | –                                           | 53                   | –                           | (32)                              | –             | –                            | 203                                    | 2,890                              | (752)                                                | 2,138                            |
| – Stormwater drainage                                      | 1,610                              | (955)                                                | 655                              | –                                           | –                    | –                           | (23)                              | –             | –                            | 42                                     | 1,718                              | (1,044)                                              | 674                              |
| – Water supply network                                     | 21,310                             | (9,701)                                              | 11,609                           | 113                                         | –                    | –                           | (542)                             | 132           | –                            | 2,130                                  | 22,800                             | (9,358)                                              | 13,442                           |
| – Sewerage network                                         | 12,044                             | (5,095)                                              | 6,949                            | 1                                           | –                    | –                           | (195)                             | 5             | –                            | 687                                    | 13,023                             | (5,576)                                              | 7,447                            |
| – Swimming pools                                           | 2,422                              | (1,049)                                              | 1,373                            | –                                           | 265                  | –                           | (60)                              | –             | –                            | 120                                    | 2,907                              | (1,209)                                              | 1,698                            |
| – Bulk earthworks – levee bank                             | 5,529                              | (2,273)                                              | 3,256                            | –                                           | –                    | –                           | (40)                              | –             | –                            | 348                                    | 6,127                              | (2,563)                                              | 3,564                            |
| – Airport                                                  | 3,939                              | (1,605)                                              | 2,334                            | –                                           | –                    | –                           | (54)                              | –             | –                            | 266                                    | 4,399                              | (1,853)                                              | 2,546                            |
| – Other open space/recreational assets                     | 1,024                              | (114)                                                | 910                              | –                                           | 21                   | –                           | (22)                              | 137           | –                            | 80                                     | 1,273                              | (147)                                                | 1,126                            |
| <b>Total infrastructure, property, plant and equipment</b> | <b>233,006</b>                     | <b>(56,242)</b>                                      | <b>176,764</b>                   | <b>22,133</b>                               | <b>1,087</b>         | <b>(130)</b>                | <b>(4,680)</b>                    | <b>–</b>      | <b>13,026</b>                | <b>19,459</b>                          | <b>296,660</b>                     | <b>(69,001)</b>                                      | <b>227,659</b>                   |

(1) Restated - see Note G4-1

(2) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

## C1-6 Infrastructure, property, plant and equipment (continued)

### Accounting policy

Infrastructure, property, plant and equipment are held at fair value. Independent comprehensive valuations are performed at least every five years, however the carrying amount of assets is assessed by Council at each reporting date to confirm that it is not materially different from current fair value.

Water and sewerage network assets are indexed at each reporting period in accordance with the Rates Reference Manual issued by NSW Department of Industry (DoI) – Water.

Increases in the carrying amounts arising on revaluation are credited to the revaluation reserve. To the extent that the increase reverses a decrease previously recognising profit or loss relating to that asset class, the increase is first recognised as profit or loss. Decreases that reverse previous increases of assets in the same class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the class; all other decreases are charged to the Income Statement.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the Income Statement during the financial period in which they are incurred.

### Capitalisation Thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following:

|                                 |                  |
|---------------------------------|------------------|
| Land                            | 100% Capitalised |
| Plant and Equipment             | >\$5,000         |
| Buildings and Land Improvements | >\$5,000         |
| Water and Sewer Assets          | >\$5,000         |
| Stormwater Assets               | >\$5,000         |
| Transport Assets                | >\$5,000         |
| Other Infrastructure Assets     | >\$5,000         |

When infrastructure, property, plant and equipment are acquired by Council for nil or nominal consideration, the assets are initially recognised at their fair value at acquisition date.

### Depreciation

Land is not depreciated. Depreciation on other assets is calculated using the straight-line method to allocate their cost, net of their residual values, over their estimated useful lives as follows:

| <b>Plant and equipment</b>        | <b>Years</b> | <b>Other equipment</b>               | <b>Years</b> |
|-----------------------------------|--------------|--------------------------------------|--------------|
| Office equipment                  | 5 to 10      | Playground equipment                 | 5 to 15      |
| Office furniture                  | 10 to 20     | Benches, seats etc.                  | 10 to 20     |
| Computer equipment                | 4            |                                      |              |
| Vehicles                          | 5 to 8       | <b>Buildings</b>                     |              |
| Heavy plant/road making equipment | 5 to 8       | Buildings: masonry                   | 50 to 100    |
| Other plant and equipment         | 5 to 15      | Buildings: other                     | 20 to 40     |
| <b>Water and sewer assets</b>     |              | <b>Stormwater assets</b>             |              |
| Dams and reservoirs               | 80 to 100    | Drains                               | 80 to 100    |
| Bores                             | 20 to 40     | Culverts                             | 50 to 80     |
| Reticulation pipes: PVC           | 70 to 80     | Flood control structures             | 80 to 100    |
| Reticulation pipes: other         | 25 to 75     |                                      |              |
| Pumps and telemetry               | 15 to 20     |                                      |              |
| <b>Transportation assets</b>      |              | <b>Other infrastructure assets</b>   |              |
| Sealed roads: surface             | 20           | Bulk earthworks                      | 100          |
| Sealed roads: structure           | 50           | Swimming pools                       | 5 to 60      |
| Unsealed roads                    | 20           | Unsealed roads                       | 20           |
| Bridge: concrete                  | 100          | Other open space/recreational assets | 20           |
| Bridge: other                     | 50           | Other infrastructure                 | 20           |
| Road pavements                    | 60           |                                      |              |
| Kerb, gutter and footpaths        | 40           |                                      |              |

## C1-6 Infrastructure, property, plant and equipment (continued)

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The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

### **Land under roads**

Land under roads is land under roadways and road reserves including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008. Land under roads acquired after 1 July 2008 is recognised in accordance with the IPPE accounting policy.

### **Crown reserves**

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

### **Rural Fire Service assets**

Under Section 119 of the Rural Fire Services Act 1997 (NSW), "all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

These Rural Fire Service assets are recognised as assets of the Council in these financial statements.

## C2 Leasing activities

### C2-1 Council as a lessee

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Council has leases over some assets including land and buildings. However, those leases are at below market value.

#### Leases at significantly below market value – concessionary / peppercorn leases

Council has a number of leases at significantly below market for land and buildings which are used for:

- workshop; and
- truckyard.

The leases are generally for 20 years and require payments of a maximum amount of \$3,000 per year. The use of the right-of-use asset is restricted by the lessors to specified community services which Council must provide, these services are detailed in the leases.

Council does not believe that any of the leases in place are individually material from a statement of financial position or performance perspective.

#### Accounting policy

At inception of a contract, Council assesses whether a lease exists – i.e. does the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration?

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

At the lease commencement, Council recognises a right-of-use asset and associated lease liability for the lease term. The lease term includes extension periods where Council believes it is reasonably certain that the option will be exercised.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives received. The right-of-use asset is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest rate method. The lease liability is re-measured when there is a lease modification, or change in estimate of the lease term or index upon which the lease payments are based (e.g. CPI).

Where the lease liability is re-measured, the right-of-use asset is adjusted to reflect the re-measurement.

#### Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

#### Leases at significantly below market value / Concessionary leases

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

## C2-2 Council as a lessor

### Operating leases

Council leases out a number of properties to community groups. This property is held to meet community service delivery objectives rather than to earn rental or for capital appreciation. These leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E in the Statement of Financial Position.

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

|                                                                                    | 2023<br>\$ '000 | 2022<br>\$ '000 |
|------------------------------------------------------------------------------------|-----------------|-----------------|
| <b>(i) Assets held as property, plant and equipment</b>                            |                 |                 |
| Lease income (excluding variable lease payments not dependent on an index or rate) | <b>143</b>      | 125             |
| <b>Total income relating to operating leases for Council assets</b>                | <b>143</b>      | 125             |

### Accounting policy

When Council is a lessor, the lease is classified as either an operating or finance lease at inception date, based on whether substantially all of the risks and rewards incidental to ownership of the asset have been transferred to the lessee. If the risks and rewards have been transferred then the lease is classified as a finance lease, otherwise it is an operating lease.

When Council has a sub-lease over an asset and is the intermediate lessor then the head lease and sub-lease are accounted for separately. The classification of the sub-lease is based on the right-of-use asset which arises from the head lease rather than the useful life of the underlying asset.

If the lease contains lease and non-lease components, the non-lease components are accounted for in accordance with AASB 15 *Revenue from Contracts with Customers*.

The lease income is recognised on a straight-line basis over the lease term for an operating lease and as finance income using amortised cost basis for finance leases.

## C3 Liabilities of Council

### C3-1 Payables

|                                            | 2023<br>Current<br>\$ '000 | 2023<br>Non-current<br>\$ '000 | 2022<br>Current<br>\$ '000 | 2022<br>Non-current<br>\$ '000 |
|--------------------------------------------|----------------------------|--------------------------------|----------------------------|--------------------------------|
| Goods and services – operating expenditure | 1,260                      | –                              | 210                        | –                              |
| Goods and services – capital expenditure   | 171                        | –                              | 270                        | –                              |
| PAYG Tax Instalments                       | 91                         | –                              | 70                         | –                              |
| Accrued expenses:                          |                            |                                |                            |                                |
| – Salaries and wages                       | 191                        | –                              | 175                        | –                              |
| – Borrowings                               | 3                          | –                              | 4                          | –                              |
| Advances                                   | –                          | 51                             | 186                        | 51                             |
| Security bonds, deposits and retentions    | 43                         | –                              | 137                        | –                              |
| Other                                      | 93                         | –                              | 79                         | –                              |
| <b>Total payables</b>                      | <b>1,852</b>               | <b>51</b>                      | <b>1,131</b>               | <b>51</b>                      |

#### Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

#### Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

## C3-2 Contract Liabilities

|                                                                                        |       | 2023<br>Current<br>\$ '000 | 2023<br>Non-current<br>\$ '000 | 2022<br>Current<br>\$ '000 | 2022<br>Non-current<br>\$ '000 |
|----------------------------------------------------------------------------------------|-------|----------------------------|--------------------------------|----------------------------|--------------------------------|
|                                                                                        | Notes |                            |                                |                            |                                |
| <b>Grants and contributions received in advance:</b>                                   |       |                            |                                |                            |                                |
| Unexpended capital grants (to construct Council controlled assets)                     | (i)   | 3,322                      | –                              | 3,749                      | –                              |
| Unexpended operating grants (received prior to performance obligation being satisfied) | (ii)  | –                          | –                              | 17                         | –                              |
| <b>Total grants received in advance</b>                                                |       | <b>3,322</b>               | <b>–</b>                       | <b>3,766</b>               | <b>–</b>                       |
| <b>Total contract liabilities</b>                                                      |       | <b>3,322</b>               | <b>–</b>                       | <b>3,766</b>               | <b>–</b>                       |

### Notes

(i) The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

### Contract liabilities relating to restricted assets

|                                                                      | 2023<br>Current<br>\$ '000 | 2023<br>Non-current<br>\$ '000 | 2022<br>Current<br>\$ '000 | 2022<br>Non-current<br>\$ '000 |
|----------------------------------------------------------------------|----------------------------|--------------------------------|----------------------------|--------------------------------|
| <b>Externally restricted assets</b>                                  |                            |                                |                            |                                |
| Unspent grants held as contract liabilities (excl. Water & Sewer)    | 3,302                      | –                              | 3,766                      | –                              |
| <b>Contract liabilities relating to externally restricted assets</b> | <b>3,322</b>               | <b>–</b>                       | <b>3,766</b>               | <b>–</b>                       |
| <b>Total contract liabilities relating to restricted assets</b>      | <b>3,322</b>               | <b>–</b>                       | <b>3,766</b>               | <b>–</b>                       |
| <b>Total contract liabilities</b>                                    | <b>3,322</b>               | <b>–</b>                       | <b>3,766</b>               | <b>–</b>                       |

### Revenue recognised that was included in the contract liability balance at the beginning of the period

|                                                                                                                    | 2023<br>\$ '000 | 2022<br>\$ '000 |
|--------------------------------------------------------------------------------------------------------------------|-----------------|-----------------|
| <b>Grants and contributions received in advance:</b>                                                               |                 |                 |
| Capital grants (to construct Council controlled assets)                                                            | 3,766           | 7,119           |
| <b>Total revenue recognised that was included in the contract liability balance at the beginning of the period</b> | <b>3,766</b>    | <b>7,119</b>    |

### Significant changes in contract liabilities

Drop of contract liabilities was mistly caused by delivering works for specific grants from previous years.

### Accounting policy

Contract liabilities are recorded when consideration is received from a customer / fund provider prior to Council transferring a good or service to the customer, Council presents the funds which exceed revenue recognised as a contract liability.

### C3-3 Borrowings

|                              | 2023<br>Current<br>\$ '000 | 2023<br>Non-current<br>\$ '000 | 2022<br>Current<br>\$ '000 | 2022<br>Non-current<br>\$ '000 |
|------------------------------|----------------------------|--------------------------------|----------------------------|--------------------------------|
| Loans – secured <sup>1</sup> | 43                         | 320                            | 159                        | 1,250                          |
| <b>Total borrowings</b>      | <b>43</b>                  | <b>320</b>                     | <b>159</b>                 | <b>1,250</b>                   |

(1) Loans are secured over the general rating income of Council.

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

#### (a) Changes in liabilities arising from financing activities

|                                                    | 2022                          |                       | Non-cash movements     |                                  |                                                                    |                                       | 2023                          |
|----------------------------------------------------|-------------------------------|-----------------------|------------------------|----------------------------------|--------------------------------------------------------------------|---------------------------------------|-------------------------------|
|                                                    | Opening<br>Balance<br>\$ '000 | Cash flows<br>\$ '000 | Acquisition<br>\$ '000 | Fair value<br>changes<br>\$ '000 | Acquisition<br>due to change<br>in accounting<br>policy<br>\$ '000 | Other non-cash<br>movement<br>\$ '000 | Closing<br>balance<br>\$ '000 |
| Loans – secured                                    | 1,409                         | (1,046)               | –                      | –                                | –                                                                  | –                                     | 363                           |
| <b>Total liabilities from financing activities</b> | <b>1,409</b>                  | <b>(1,046)</b>        | <b>–</b>               | <b>–</b>                         | <b>–</b>                                                           | <b>–</b>                              | <b>363</b>                    |

|                                                    | 2021                          |                       | Non-cash movements     |                                  |                                                                    |                                       | 2022                       |
|----------------------------------------------------|-------------------------------|-----------------------|------------------------|----------------------------------|--------------------------------------------------------------------|---------------------------------------|----------------------------|
|                                                    | Opening<br>Balance<br>\$ '000 | Cash flows<br>\$ '000 | Acquisition<br>\$ '000 | Fair value<br>changes<br>\$ '000 | Acquisition due<br>to change in<br>accounting<br>policy<br>\$ '000 | Other non-cash<br>movement<br>\$ '000 | Closing balance<br>\$ '000 |
| Loans – secured                                    | 1,576                         | (167)                 | –                      | –                                | –                                                                  | –                                     | 1,409                      |
| <b>Total liabilities from financing activities</b> | <b>1,576</b>                  | <b>(167)</b>          | <b>–</b>               | <b>–</b>                         | <b>–</b>                                                           | <b>–</b>                              | <b>1,409</b>               |

### C3-3 Borrowings (continued)

#### (b) Financing arrangements

|                                             | 2023<br>\$ '000 | 2022<br>\$ '000 |
|---------------------------------------------|-----------------|-----------------|
| <b>Total facilities</b>                     |                 |                 |
| Credit cards/purchase cards                 | 25              | 30              |
| <b>Total financing arrangements</b>         | <b>25</b>       | <b>30</b>       |
| <b>Undrawn facilities</b>                   |                 |                 |
| – Credit cards/purchase cards               | 18              | 30              |
| <b>Total undrawn financing arrangements</b> | <b>18</b>       | <b>30</b>       |

#### Breaches and defaults

During the current and prior year, there were no defaults or breaches on any of the loans.

#### Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or borrowing costs.

### C3-4 Employee benefit provisions

|                                          | 2023<br>Current<br>\$ '000 | 2023<br>Non-current<br>\$ '000 | 2022<br>Current<br>\$ '000 | 2022<br>Non-current<br>\$ '000 |
|------------------------------------------|----------------------------|--------------------------------|----------------------------|--------------------------------|
| Annual leave                             | 324                        | –                              | 393                        | –                              |
| Long service leave                       | 733                        | 31                             | 668                        | 78                             |
| Other leave – RDO                        | 36                         | –                              | 37                         | –                              |
| <b>Total employee benefit provisions</b> | <b>1,093</b>               | <b>31</b>                      | <b>1,098</b>               | <b>78</b>                      |

#### Current employee benefit provisions not anticipated to be settled within the next twelve months

|  | 2023<br>\$ '000 | 2022<br>\$ '000 |
|--|-----------------|-----------------|
|--|-----------------|-----------------|

The following provisions, even though classified as current, are not expected to be settled in the next 12 months.

|                                 |            |            |
|---------------------------------|------------|------------|
| Provisions – employees benefits | 489        | 752        |
|                                 | <b>489</b> | <b>752</b> |

#### Accounting policy

Employee benefit provisions are presented as current liabilities in the Statement of Financial Position if Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur and therefore all annual leave and vested long service leave (or that which vests within 12 months) is presented as current.

#### Short-term obligations

Liabilities for wages and salaries (including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service) are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

#### Other long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

#### On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

## C4 Reserves

### C4-1 Nature and purpose of reserves

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#### **IPPE Revaluation reserve**

The infrastructure, property, plant and equipment (IPPE) revaluation reserve is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

## D Council structure

### D1 Results by fund

General fund refers to all Council activities other than water and sewer. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer columns are restricted for use for these activities.

#### D1-1 Income Statement by fund

|                                                                                                        | <b>General<br/>2023<br/>\$ '000</b> | <b>Water<br/>2023<br/>\$ '000</b> | <b>Sewer<br/>2023<br/>\$ '000</b> |
|--------------------------------------------------------------------------------------------------------|-------------------------------------|-----------------------------------|-----------------------------------|
| <b>Income from continuing operations</b>                                                               |                                     |                                   |                                   |
| Rates and annual charges                                                                               | 1,338                               | 778                               | 502                               |
| User charges and fees                                                                                  | 6,452                               | 280                               | –                                 |
| Interest and investment revenue                                                                        | 455                                 | 93                                | 58                                |
| Other revenues                                                                                         | 378                                 | –                                 | –                                 |
| Grants and contributions provided for operating purposes                                               | 16,244                              | –                                 | –                                 |
| Grants and contributions provided for capital purposes                                                 | 4,524                               | –                                 | 5                                 |
| Net gains from disposal of assets                                                                      | 199                                 | –                                 | –                                 |
| Other income                                                                                           | 143                                 | –                                 | –                                 |
| <b>Total income from continuing operations</b>                                                         | <b>29,733</b>                       | <b>1,151</b>                      | <b>565</b>                        |
| <b>Expenses from continuing operations</b>                                                             |                                     |                                   |                                   |
| Employee benefits and on-costs                                                                         | 5,637                               | 200                               | 122                               |
| Materials and services                                                                                 | 9,278                               | 491                               | 165                               |
| Borrowing costs                                                                                        | 59                                  | –                                 | –                                 |
| Depreciation, amortisation and impairment of non-financial assets                                      | 4,903                               | 475                               | 280                               |
| Other expenses                                                                                         | 15                                  | 286                               | 119                               |
| <b>Total expenses from continuing operations</b>                                                       | <b>19,892</b>                       | <b>1,452</b>                      | <b>686</b>                        |
| <b>Operating result from continuing operations</b>                                                     | <b>9,841</b>                        | <b>(301)</b>                      | <b>(121)</b>                      |
| <b>Net operating result for the year</b>                                                               | <b>9,841</b>                        | <b>(301)</b>                      | <b>(121)</b>                      |
| <b>Net operating result attributable to each council fund</b>                                          | <b>9,841</b>                        | <b>(301)</b>                      | <b>(121)</b>                      |
| <b>Net operating result for the year before grants and contributions provided for capital purposes</b> | <b>5,317</b>                        | <b>(301)</b>                      | <b>(126)</b>                      |

## D1-2 Statement of Financial Position by fund

|                                               | General<br>2023<br>\$ '000 | Water<br>2023<br>\$ '000 | Sewer<br>2023<br>\$ '000 |
|-----------------------------------------------|----------------------------|--------------------------|--------------------------|
| <b>ASSETS</b>                                 |                            |                          |                          |
| <b>Current assets</b>                         |                            |                          |                          |
| Cash and cash equivalents                     | 16,110                     | 2,204                    | 987                      |
| Receivables                                   | 766                        | 251                      | 60                       |
| Inventories                                   | 343                        | —                        | —                        |
| Contract assets and contract cost assets      | 9,588                      | —                        | —                        |
| Other                                         | 23                         | —                        | —                        |
| <b>Total current assets</b>                   | <b>26,830</b>              | <b>2,455</b>             | <b>1,047</b>             |
| <b>Non-current assets</b>                     |                            |                          |                          |
| Infrastructure, property, plant and equipment | 217,791                    | 14,269                   | 8,653                    |
| <b>Total non-current assets</b>               | <b>217,791</b>             | <b>14,269</b>            | <b>8,653</b>             |
| <b>Total assets</b>                           | <b>244,621</b>             | <b>16,724</b>            | <b>9,700</b>             |
| <b>LIABILITIES</b>                            |                            |                          |                          |
| <b>Current liabilities</b>                    |                            |                          |                          |
| Payables                                      | 1,846                      | 6                        | —                        |
| Contract liabilities                          | 3,302                      | —                        | 20                       |
| Borrowings                                    | 43                         | —                        | —                        |
| Employee benefit provision                    | 1,093                      | —                        | —                        |
| <b>Total current liabilities</b>              | <b>6,284</b>               | <b>6</b>                 | <b>20</b>                |
| <b>Non-current liabilities</b>                |                            |                          |                          |
| Payables                                      | 51                         | —                        | —                        |
| Borrowings                                    | 320                        | —                        | —                        |
| Employee benefit provision                    | 31                         | —                        | —                        |
| <b>Total non-current liabilities</b>          | <b>402</b>                 | <b>—</b>                 | <b>—</b>                 |
| <b>Total liabilities</b>                      | <b>6,686</b>               | <b>6</b>                 | <b>20</b>                |
| <b>Net assets</b>                             | <b>237,935</b>             | <b>16,718</b>            | <b>9,680</b>             |
| <b>EQUITY</b>                                 |                            |                          |                          |
| Accumulated surplus                           | 169,871                    | 2,604                    | 725                      |
| Revaluation reserves                          | 68,064                     | 14,114                   | 8,955                    |
| <b>Council equity interest</b>                | <b>237,935</b>             | <b>16,718</b>            | <b>9,680</b>             |
| <b>Total equity</b>                           | <b>237,935</b>             | <b>16,718</b>            | <b>9,680</b>             |

## E Risks and accounting uncertainties

### E1-1 Risks relating to financial instruments held

Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of Council.

Council's objective is to maximise its return on cash and investments while maintaining an adequate level of liquidity and preserving capital. The finance team manage the cash and investments portfolio with the assistance of independent advisers. Council has an investment policy which complies with s 625 of the Act and the Ministerial Investment Order. The policy is regularly reviewed by Council and a monthly investment report is provided to Council setting out the make-up and performance of the portfolio as required by local government regulations.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by the finance team under policies approved by the Councillors.

The fair value of receivables, loans, investments and financial liabilities approximates the carrying amount. The risks associated with the financial instruments held are:

- interest rate risk – the risk that movements in interest rates could affect returns
- liquidity risk – the risk that Council will not be able to pay its debts as and when they fall due
- credit risk – the risk that a contracting entity will not complete its obligations under a financial instrument resulting in a financial loss to the Council.

Council manages these risks by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

#### (a) Market risk – interest rate and price risk

|                                                                                                                                                                                                                                                                                            | 2023<br>\$ '000 | 2022<br>\$ '000 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|-----------------|
| The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date. |                 |                 |
| Impact of a 1% movement in interest rates                                                                                                                                                                                                                                                  |                 |                 |
| – Equity / Income Statement                                                                                                                                                                                                                                                                | 189             | 196             |

## E1-1 Risks relating to financial instruments held (continued)

### (b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

#### Credit risk profile

##### Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

|                        | Not yet<br>overdue<br>\$ '000 | overdue rates and annual charges<br>< 5 years<br>\$ '000 | ≥ 5 years<br>\$ '000 | Total<br>\$ '000 |
|------------------------|-------------------------------|----------------------------------------------------------|----------------------|------------------|
| <b>2023</b>            |                               |                                                          |                      |                  |
| Gross carrying amount  | –                             | 473                                                      | 118                  | 591              |
| Expected loss rate (%) | 0.00%                         | 70.00%                                                   | 100.00%              | 53.00%           |
| <b>ECL provision</b>   | <b>–</b>                      | <b>332</b>                                               | <b>118</b>           | <b>450</b>       |
| <b>2022</b>            |                               |                                                          |                      |                  |
| Gross carrying amount  | –                             | 423                                                      | 88                   | 511              |
| Expected loss rate (%) | 0.00%                         | 54.21%                                                   | 100.00%              | 53.00%           |
| <b>ECL provision</b>   | <b>–</b>                      | <b>296</b>                                               | <b>77</b>            | <b>373</b>       |

(1) PY classification was changed

##### Receivables - non-rates and annual charges

Council applies the simplified approach for non-rates debtors to provide for expected credit losses prescribed by AASB 9, which permits the use of the lifetime expected loss provision. To measure the expected credit losses, non-rates and annual charges debtors have been grouped based on shared credit risk characteristics and the days past due. The loss allowance provision as at 30 June 2023 is determined as follows. The expected credit losses incorporate forward-looking information.

|                        | Not yet<br>overdue<br>\$ '000 | 0 - 30 days<br>\$ '000 | Overdue debts<br>31 - 60 days<br>\$ '000 | 61 - 90 days<br>\$ '000 | > 91 days<br>\$ '000 | Total<br>\$ '000 |
|------------------------|-------------------------------|------------------------|------------------------------------------|-------------------------|----------------------|------------------|
| <b>2023</b>            |                               |                        |                                          |                         |                      |                  |
| Gross carrying amount  | 7,340                         | 3,174                  | –                                        | 255                     | –                    | 10,769           |
| Expected loss rate (%) | 0.00%                         | 3.47%                  | 7.00%                                    | 52.95%                  | 100.00%              | 2.28%            |
| <b>ECL provision</b>   | <b>–</b>                      | <b>110</b>             | <b>–</b>                                 | <b>135</b>              | <b>–</b>             | <b>245</b>       |
| <b>2022</b>            |                               |                        |                                          |                         |                      |                  |
| Gross carrying amount  | 3,522                         | 102                    | 6                                        | –                       | 145                  | 3,775            |
| Expected loss rate (%) | 2.07%                         | 5.00%                  | 7.00%                                    | 10.00%                  | 100.00%              | 5.92%            |
| <b>ECL provision</b>   | <b>73</b>                     | <b>5</b>               | <b>–</b>                                 | <b>–</b>                | <b>145</b>           | <b>223</b>       |

## E1-1 Risks relating to financial instruments held (continued)

### (c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

|                                    | Weighted<br>average<br>interest<br>rate<br>% | Subject<br>to no<br>maturity<br>\$ '000 | payable in:<br>≤ 1 Year<br>\$ '000 | 1 - 5<br>Years<br>\$ '000 | > 5 Years<br>\$ '000 | Total cash<br>outflows<br>\$ '000 | Actual<br>carrying<br>values<br>\$ '000 |
|------------------------------------|----------------------------------------------|-----------------------------------------|------------------------------------|---------------------------|----------------------|-----------------------------------|-----------------------------------------|
| <b>2023</b>                        |                                              |                                         |                                    |                           |                      |                                   |                                         |
| Payables                           | 0.00%                                        | 43                                      | 1,809                              | 51                        | –                    | 1,903                             | 1,903                                   |
| Borrowings                         | 3.75%                                        | –                                       | 57                                 | 320                       | –                    | 377                               | 363                                     |
| <b>Total financial liabilities</b> |                                              | <b>43</b>                               | <b>1,866</b>                       | <b>371</b>                | <b>–</b>             | <b>2,280</b>                      | <b>2,266</b>                            |
| <b>2022</b>                        |                                              |                                         |                                    |                           |                      |                                   |                                         |
| Payables                           | 0.00%                                        | 137                                     | 994                                | 51                        | –                    | 1,182                             | 1,182                                   |
| Borrowings                         | 4.91%                                        | –                                       | 159                                | 1,250                     | –                    | 1,409                             | 1,409                                   |
| <b>Total financial liabilities</b> |                                              | <b>137</b>                              | <b>1,153</b>                       | <b>1,301</b>              | <b>–</b>             | <b>2,591</b>                      | <b>2,591</b>                            |

## E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

**Level 1:** Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

**Level 2:** Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

**Level 3:** Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

| Fair value measurement hierarchy                    |       |                          |          |                                       |       |                                         |                   |         |         |
|-----------------------------------------------------|-------|--------------------------|----------|---------------------------------------|-------|-----------------------------------------|-------------------|---------|---------|
| \$ '000                                             | Notes | Date of latest valuation |          | Level 2 Significant observable inputs |       | Level 3 Significant unobservable inputs |                   | Total   |         |
|                                                     |       | 2023                     | 2022     | 2023                                  | 2022  | 2023                                    | 2022 <sup>1</sup> | 2023    | 2022    |
| Infrastructure, property, plant and equipment       | C1-6  |                          |          |                                       |       |                                         |                   |         |         |
| Plant and equipment                                 |       | 30/06/20                 | 30/06/20 | —                                     | —     | 4,992                                   | 6,008             | 4,992   | 6,008   |
| Office equipment                                    |       | 30/06/20                 | 30/06/20 | —                                     | —     | 136                                     | 193               | 136     | 193     |
| Furniture and fittings                              |       | 30/06/20                 | 30/06/20 | —                                     | —     | 15                                      | 21                | 15      | 21      |
| Operational land                                    |       | 30/06/23                 | 30/06/20 | —                                     | —     | 1,869                                   | 1,632             | 1,869   | 1,632   |
| Community land                                      |       | 30/06/23                 | 30/06/20 | —                                     | —     | 362                                     | 228               | 362     | 228     |
| Buildings – non-specialised                         |       | 30/06/23                 | 30/06/18 | 2,035                                 | 2,230 | —                                       | —                 | 2,035   | 2,230   |
| Buildings – specialised                             |       | 30/06/23                 | 30/06/18 | —                                     | —     | 25,620                                  | 27,990            | 25,620  | 27,990  |
| Other structures                                    |       | 30/06/21                 | 30/06/21 | —                                     | —     | 5,236                                   | 4,707             | 5,236   | 4,707   |
| Roads                                               |       | 30/06/20                 | 30/06/20 | —                                     | —     | 146,871                                 | 134,190           | 146,871 | 134,190 |
| Bridges                                             |       | 30/06/20                 | 30/06/20 | —                                     | —     | 18,113                                  | 17,323            | 18,113  | 17,323  |
| Footpaths                                           |       | 30/06/20                 | 30/06/20 | —                                     | —     | 2,521                                   | 2,138             | 2,521   | 2,138   |
| Bulk earthworks – Levee banks                       |       | 30/06/20                 | 30/06/20 | —                                     | —     | 3,727                                   | 3,564             | 3,727   | 3,564   |
| Stormwater drainage                                 |       | 30/06/20                 | 30/06/20 | —                                     | —     | 700                                     | 674               | 700     | 674     |
| Water supply network                                |       | 30/06/22                 | 30/06/22 | —                                     | —     | 13,970                                  | 13,442            | 13,970  | 13,442  |
| Sewerage network                                    |       | 30/06/22                 | 30/06/22 | —                                     | —     | 7,721                                   | 7,447             | 7,721   | 7,447   |
| Swimming pools                                      |       | 30/06/21                 | 30/06/21 | —                                     | —     | 1,715                                   | 1,698             | 1,715   | 1,698   |
| Other open spaces/recreational assets               |       | 30/06/21                 | 30/06/21 | —                                     | —     | 1,164                                   | 1,126             | 1,164   | 1,126   |
| Airports                                            |       | 30/06/20                 | 30/06/20 | —                                     | —     | 2,612                                   | 2,546             | 2,612   | 2,546   |
| Total infrastructure, property, plant and equipment |       |                          |          | 2,035                                 | 2,230 | 237,344                                 | 224,927           | 239,379 | 227,157 |

(1) Restated - see Note G4-1

### Valuation techniques

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

#### Infrastructure, property, plant and equipment (IPPE)

There has been no change in valuation techniques during the reporting period.

## E2-1 Fair value measurement (continued)

The values of Plant and Equipment, Office Equipment, and Furniture and Fittings have been disclosed at cost due to the nature of these assets.

All buildings and other structures were valued by an external registered valuer on the basis of fair value. The values include normal fixtures and fittings, internal finishes, electrical and mechanical services, fire / security, transportation, and roofing. The specialised buildings and other structures have no active market and have been classified as Level 3.

Roads, comprising roadway, roadside shoulders, kerb and guttering, have been valued on a rolling basis by Council's engineer on a fair value basis. This group has been classified as level 3 as market based evidence could not be supported.

Bridges, Footpaths, Stormwater Drainage, Levee Banks, Swimming Pools, Open Space and Recreation Assets, and Airports have all been externally valued on a fair value basis. As market based evidence was unable to be supported for these categories they have all been classified as level 3.

Water Supply Network and Sewerage Services Network have been externally valued by a qualified independent valuer on a fair value basis. They are classified as level 3 as market evidence was not supported. These assets have been indexed annually at an indexation rate supplied by the Department of Planning, Industry and Environment – Water.

### Fair value measurements using significant unobservable inputs (level 3)

For changes in Level 3 input fair value asset classes refer to Note C1-6.

There were no transfers into or out of the Level 3 fair valuation hierarchy.

#### **Valuation process and significant unobservable valuation inputs used (for level 2 and 3 fair value hierarchy asset classes)**

**Land** - Values were determined with reference to the NSW Valuer General's 2019 land valuation.

#### **All Other Level 2 and 3 Asset Classes**

Where there was an active and liquid market as evidenced by sales transactions of similar property types, a Market Approach by way of Direct Comparison, Income Capitalisation or Summation methods was utilised.

These are accepted valuation methodologies under AASB 13. If a Market Approach is adopted, the building valuation is deemed to be a Level 2 input.

Direct comparison and summation methods involve analysis of sales evidence and comparisons with the subject taking into account matters such as method of construction, size, condition, age, land area and location. The land value is subtracted from the Market Value of the property to measure the building asset Fair Value.

For those assets not assessed under a Market Approach due to their predominantly specialised nature, a Current Replacement Cost (CRC) approach to valuation has been adopted, being an accepted valuation methodology under AASB 13. The CRC approach is deemed Level 3 methodology on the Fair Value Hierarchy.

Where there is no depth of market, as determined for the specified Brewarrina Shire Council assets, the net current value of an asset is the gross current value less accumulated depreciation to reflect the consumed or expired service potential of the asset.

Under this approach, the following process is adopted:

- Published/available market data for recent projects, and/or published cost guides are utilised to determine the estimated replacement cost (gross value) of the asset, including allowances for preliminaries and professional fees. This is considered a Level 2 input.
- A condition assessment is applied, which is based on factors such as the age of the asset, overall condition as noted by the Valuer during inspection, economic and/or functional obsolescence. The condition assessment directly translates to the level of depreciation applied. The conditions assessed are considered a Level 3 input.
- While the replacement cost of the assets could be supported by market supplied evidence (level 2), other unobservable inputs (such as estimates of residual value, useful life, asset condition) were also required (level 3).

To calculate the appropriate amount of accumulated depreciation, assets were either subject to a site inspection or an assessment to determine remaining useful life. Where site inspections were conducted (i.e. for visible aboveground assets), the assets were allocated a condition assessment, which was used to estimate remaining useful life.

## E2-1 Fair value measurement (continued)

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Where site inspections were not conducted (i.e. for passive assets and active assets for which no site inspections were undertaken), the remaining useful life was calculated on asset age and estimated useful life.

The valuation techniques used in the determination of fair values maximise the use of observable data where it is available and relies as little as possible on entity specifics. The disclosure of valuation estimates is designed to provide users with an insight into the judgements that have been made in the determination of fair values.

### Infrastructure - Calculation of Current Replacement Cost

#### Water and Sewerage Infrastructure

The water assets were segregated into Systems; Reticulation, Raw Supply, Potable Storage, and Treatment assets; reticulation assets were not further componentised and consisted of mains, hydrants, stop valves and water meters. Other asset systems were componentised based on usage profile. Unit rates were applied based on similar recent project costs, unit rate databases, indices, Rawlinson's Construction rates and quotations.

The remaining system assets consisted of treatment, pumping and storage assets. These assets were componentised and valued individually, with allowances for complexity, size, function and site factors. These are generally totalled to a lump sum item and compared against recent similar projects and in-house databases to check for relativity, appropriateness and sensibility.

Location factors, soil type, weather conditions, raw material access and service level standards were assumed to be uniform across the council area.

Unit rates were increased depending on project complexity to allow for project overheads including survey, environmental and investigation costs, engineering design, planning and project management.

#### Road Infrastructure

The Roads infrastructure assets were classified as passive assets; passive assets were further componentised and consisted of Formation, Pavement and Seal for roads assets. Unit rates were applied based on similar recent project costs, unit rate databases, indices, Rawlinson's Construction rates and quotations.

Roads were segmented based on the main roads standard, these are categorised as Formed, Unformed and then further by sealed and unsealed types.

The Current Replacement Cost was calculated by reference to asset length and width for Formation and Seal and Depth for Pavements. Location Factors, soil type, weather conditions, raw material access and service level standards were assumed to be uniform across the council area.

#### Valuation Processes

Council's valuation policies and procedures are set out by the leadership team which comprises the General Manager, Finance and Admin Manager, and the Transport Manager. They are reviewed annually taking into consideration an analysis of movements in fair value and other relevant information. Non-recurring fair value measurements are made at the point of reclassification by a registered valuer.

### Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

## E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

### LIABILITIES NOT RECOGNISED

#### 1. Guarantees

##### (i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

##### *Description of the funding arrangements.*

Pooled Employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are::

|            |                                                                                         |
|------------|-----------------------------------------------------------------------------------------|
| Division B | 1.9 times member contributions for non-180 Point Members;<br>Nil for 180 Point Members* |
| Division C | 2.5% salaries                                                                           |
| Division D | 1.64 times member contributions                                                         |

\* For 180 Point Members, Employers are required to contribute 8.0% of salaries for the year ending 30 June 2023 (increasing to 8.5% in line with the increase in the Superannuation Guarantee) to these members' accumulation accounts, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$20.0 million for 1 July 2022 to 30 June 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June 2022. These past service contributions are used to maintain the adequacy of the funding position for the accrued liabilities.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

##### *Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan*

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

There is no provision for allocation of any surplus which may be present at the date of withdrawal of an employer.

## E3-1 Contingencies (continued)

The amount of Council contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2023 was \$14,961.39. The last valuation of the Scheme was performed by fund actuary, Richard Boyfield, FIAA as at 30 June 2022.

The amount of additional contributions included in the total employer contribution advised above is \$6,556.08. Council's expected contribution to the plan for the next annual reporting period is \$9,277.64.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2023 is:

| Employer reserves only * | \$millions | Asset Coverage |
|--------------------------|------------|----------------|
| Assets                   | 2,290.9    |                |
| Past Service Liabilities | 2,236.1    | 102.4%         |
| Vested Benefits          | 2,253.6    | 101.7%         |

\* excluding member accounts and reserves in both assets and liabilities.

The share of any funding surplus or deficit that can be attributed to Council is 0.03%

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

|                   |                                                |
|-------------------|------------------------------------------------|
| Investment return | 6.0% per annum                                 |
| Salary inflation  | 3.5% per annum                                 |
| Increase in CPI   | 6.0% for FY 22/23<br>2.5% per annum thereafter |

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review, which will be a triennial actuarial investigation will be completed by December 2023

### (ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30 June this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

### (iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

### (iv) Other guarantees

Council has provided no other guarantees other than those listed above.

## E3-1 Contingencies (continued)

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### 2. Other liabilities

#### (i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

#### (ii) Potential land acquisitions due to planning restrictions imposed by Council

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

### ASSETS NOT RECOGNISED

#### (i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

## F People and relationships

### F1 Related party disclosures

#### F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

|                          | 2023<br>\$ '000 | 2022<br>\$ '000 |
|--------------------------|-----------------|-----------------|
| <b>Compensation:</b>     |                 |                 |
| Short-term benefits      | 765             | 880             |
| Post-employment benefits | 64              | 71              |
| Other long-term benefits | 25              | 99              |
| <b>Total</b>             | <b>854</b>      | <b>1,050</b>    |

#### Other transactions with KMP and their related parties

Council has determined that transactions at arm's length between KMP and Council as part of Council delivering a public service objective (e.g. access to library or Council swimming pool by KMP) will not be disclosed.

Other specific transactions are detailed below.

| Nature of the transaction                                        |   | Transactions<br>during the year<br>\$ '000<br>Ref | Outstanding<br>balances<br>including<br>commitments<br>\$ '000 | Terms and conditions   |
|------------------------------------------------------------------|---|---------------------------------------------------|----------------------------------------------------------------|------------------------|
| <b>2023</b>                                                      |   |                                                   |                                                                |                        |
| <b>Supply of Materials &amp; Services</b>                        | 1 | <b>1,315</b>                                      | –                                                              | 30-day term on invoice |
| <b>Employee expenses relating to close family members of KMP</b> | 2 | <b>48</b>                                         | –                                                              | Council Staff Award    |

## F1-1 Key management personnel (KMP) (continued)

| Nature of the transaction                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Transactions<br>during the year<br>\$ '000<br>Ref | Outstanding<br>balances<br>including<br>commitments<br>\$ '000 | Terms and conditions     |
|-----------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------|----------------------------------------------------------------|--------------------------|
| 2022                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                   |                                                                |                          |
| Supply of Materials & Services                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 1                                                 | 1,259                                                          | – 30-day term on invoice |
| Employee expenses relating to close family members of KMP |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 2                                                 | 58                                                             | – Council Staff Award    |
| 1                                                         | <p>Council purchased materials and services from:</p> <ul style="list-style-type: none"> <li>- Barwon Livestock Pty Ltd owned by the close family member of KMP of the council. The total payment is \$667,783.78.</li> <li>- TJ SS Management and Slack Smith Farm Trust owned by the close family member of the council's KMP. The total payment value is \$405,071.81.</li> <li>- Holz Trade Service Pty owned by the council's KMP. Total payment value is \$196,976.61.</li> <li>- Galimbuwan Pty Ltd owned by the close family member of the council's KMP. Total payment value is \$27,154.55.</li> <li>- Melissa Kirby owned by the close family member of the council's KMP. Total payment value is \$15,000.00.</li> <li>- RLS Club managed by KMP of the council. Total payment value is \$3,182.76.</li> <li>- A.Pippos &amp; M.B. Pippos owned by KMP of the council. Total payment value is \$320.00.</li> </ul> |                                                   |                                                                |                          |
| 2                                                         | Close family members of Council's KMP are employed by the council under the state award on an arm's length basis. There are 2 close family members of KMP currently employed by the council.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                   |                                                                |                          |

## F1-2 Councillor and Mayoral fees and associated expenses

|  | 2023    | 2022    |
|--|---------|---------|
|  | \$ '000 | \$ '000 |

The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:

|                                               |            |            |
|-----------------------------------------------|------------|------------|
| Mayoral fee                                   | 23         | 16         |
| Councillors' fees                             | 114        | 107        |
| Other Councillors' expenses (including Mayor) | 22         | 25         |
| <b>Total</b>                                  | <b>159</b> | <b>148</b> |

## F2 Other relationships

### F2-1 Audit fees

|  | 2023    | 2022    |
|--|---------|---------|
|  | \$ '000 | \$ '000 |

During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms

#### Auditors of the Council - NSW Auditor-General:

##### (i) Audit and other assurance services

Audit and review of financial statements

|                                                            |           |           |
|------------------------------------------------------------|-----------|-----------|
|                                                            | 73        | 64        |
| <b>Remuneration for audit and other assurance services</b> | <b>73</b> | <b>64</b> |
| <b>Total audit fees</b>                                    | <b>73</b> | <b>64</b> |

## G Other matters

### G1-1 Statement of Cash Flows information

#### Reconciliation of net operating result to cash provided from operating activities

|                                                                            | 2023<br>\$ '000 | 2022 <sup>1</sup><br>\$ '000 |
|----------------------------------------------------------------------------|-----------------|------------------------------|
| <b>Net operating result from Income Statement</b>                          | <b>9,419</b>    | <b>34,522</b>                |
| <b>Add / (less) non-cash items:</b>                                        |                 |                              |
| Depreciation and amortisation                                              | 5,658           | 3,923                        |
| (Gain) / loss on disposal of assets                                        | (199)           | 116                          |
| Non-cash capital grants and contributions                                  | –               | (13,026)                     |
| <b>Movements in operating assets and liabilities and other cash items:</b> |                 |                              |
| (Increase) / decrease of receivables                                       | (396)           | 4,690                        |
| Increase / (decrease) in provision for impairment of receivables           | 99              | 72                           |
| (Increase) / decrease of inventories                                       | (141)           | (19)                         |
| (Increase) / decrease of other current assets                              | 3               | 83                           |
| (Increase) / decrease of contract asset                                    | (6,678)         | 1,579                        |
| Increase / (decrease) in payables                                          | 1,050           | (570)                        |
| Increase / (decrease) in accrued interest payable                          | (1)             | –                            |
| Increase / (decrease) in other accrued expenses payable                    | 16              | (11)                         |
| Increase / (decrease) in other liabilities                                 | (245)           | (7)                          |
| Increase / (decrease) in contract liabilities                              | (444)           | (3,353)                      |
| Increase / (decrease) in employee benefit provision                        | (52)            | 161                          |
| <b>Net cash flows from operating activities</b>                            | <b>8,089</b>    | <b>28,160</b>                |

(1) Restated - see Note G4-1

## G2-1 Commitments

### Capital commitments (exclusive of GST)

|  | 2023<br>\$ '000 | 2022<br>\$ '000 |
|--|-----------------|-----------------|
|--|-----------------|-----------------|

Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

#### Property, plant and equipment

|                          |            |            |
|--------------------------|------------|------------|
| Plant and equipment      | 264        | —          |
| Other Structures         | —          | 152        |
| Road infrastructure      | 323        | —          |
| <b>Total commitments</b> | <b>587</b> | <b>152</b> |

#### These expenditures are payable as follows:

|                      |            |            |
|----------------------|------------|------------|
| Within the next year | 587        | 152        |
| <b>Total payable</b> | <b>587</b> | <b>152</b> |

#### Sources for funding of capital commitments:

|                                 |            |            |
|---------------------------------|------------|------------|
| Unrestricted general funds      | 587        | 152        |
| <b>Total sources of funding</b> | <b>587</b> | <b>152</b> |

## G3-1 Events occurring after the reporting date

Council is unaware of any material or significant non-adjusting events that should be disclosed.

## G4 Changes from prior year statements

### G4-1 Correction of errors

As a result of current year revaluation of buildings management identified assets controlled by the council which were not previously captured in the asset register. Total carrying amount of those buildings as at 30 June 2023 was \$764,719. Furthermore, some buildings were found to no longer exist. Carrying amount of those buildings as at 30 June 2023 was \$229,253. The net effect of the above matters in amount of \$535,466 was brought into account as increase in the value of buildings class of assets as prior year error.

As a result of the reconciliation of RFS vehicles, management identified assets which were not included in the council's asset register. Total carrying amount of these vehicles was brought into account on 1 July 2022 as prior year error in amount of \$604,390.

The errors identified above have been corrected by restating the balances at the beginning of the earliest period presented (1 July 2021) and taking the adjustment through to accumulated surplus at that date.

Comparatives have been changed to reflect the correction of errors. The impact on each line item is shown in the tables below.

### Changes to the opening Statement of Financial Position at 1 July 2021

#### Statement of Financial Position

|                                                      | Original<br>Balance<br>1 July, 2021<br>\$ '000 | Impact<br>Increase/<br>(decrease)<br>\$ '000 | Restated<br>Balance<br>1 July, 2021<br>\$ '000 |
|------------------------------------------------------|------------------------------------------------|----------------------------------------------|------------------------------------------------|
| Infrastructure, property, plant and equipment (IPPE) | 175,572                                        | 1,192                                        | 176,764                                        |
| <b>Total non-current assets</b>                      | <b>175,572</b>                                 | <b>1,192</b>                                 | <b>176,764</b>                                 |
| <b>Total assets</b>                                  | <b>201,893</b>                                 | <b>1,192</b>                                 | <b>203,085</b>                                 |
| <b>Total liabilities</b>                             | <b>12,034</b>                                  | <b>–</b>                                     | <b>12,034</b>                                  |
| <b>Net assets</b>                                    | <b>189,859</b>                                 | <b>1,192</b>                                 | <b>191,051</b>                                 |
| Accumulated surplus                                  | 128,067                                        | 1,192                                        | 129,259                                        |
| IPPE revaluation reserve                             | 61,792                                         | –                                            | 61,792                                         |
| <b>Total equity</b>                                  | <b>189,859</b>                                 | <b>1,192</b>                                 | <b>191,051</b>                                 |

## G4-1 Correction of errors (continued)

## Adjustments to the comparative figures for the year ended 30 June 2022

## Statement of Financial Position

|                                               | Original<br>Balance<br>30 June, 2022<br>\$ '000 | Impact<br>Increase/<br>(decrease)<br>\$ '000 | Restated<br>Balance<br>30 June, 2022<br>\$ '000 |
|-----------------------------------------------|-------------------------------------------------|----------------------------------------------|-------------------------------------------------|
| Infrastructure, Property, Plant and Equipment | 226,519                                         | 1,140                                        | 227,659                                         |
| <b>Total non-current assets</b>               | <b>226,519</b>                                  | <b>1,140</b>                                 | <b>227,659</b>                                  |
| <b>Total assets</b>                           | <b>251,425</b>                                  | <b>1,140</b>                                 | <b>252,565</b>                                  |
| <b>Total liabilities</b>                      | <b>7,533</b>                                    | <b>–</b>                                     | <b>7,533</b>                                    |
| <b>Net assets</b>                             | <b>243,892</b>                                  | <b>1,140</b>                                 | <b>245,032</b>                                  |
| Accumulated surplus                           | 162,641                                         | 1,140                                        | 163,781                                         |
| IPPE revaluation reserve                      | 81,251                                          | –                                            | 81,251                                          |
| <b>Total equity</b>                           | <b>243,892</b>                                  | <b>1,140</b>                                 | <b>245,032</b>                                  |

## Income Statement

|                                                                   | Original<br>Balance<br>30 June, 2022<br>\$ '000 | Impact<br>Increase/<br>(decrease)<br>\$ '000 | Restated<br>Balance<br>30 June, 2022<br>\$ '000 |
|-------------------------------------------------------------------|-------------------------------------------------|----------------------------------------------|-------------------------------------------------|
| <b>Total income from continuing operations</b>                    | <b>47,732</b>                                   | <b>–</b>                                     | <b>47,732</b>                                   |
| Depreciation, amortisation and impairment of non-financial assets | 3,871                                           | 52                                           | 3,923                                           |
| <b>Total expenses from continuing operations</b>                  | <b>13,158</b>                                   | <b>52</b>                                    | <b>13,210</b>                                   |
| <b>Net operating result for the year</b>                          | <b>34,574</b>                                   | <b>(52)</b>                                  | <b>34,522</b>                                   |

## Statement of Comprehensive Income

|                                                | Original<br>Balance<br>30 June, 2022<br>\$ '000 | Impact<br>Increase/<br>(decrease)<br>\$ '000 | Restated<br>Balance<br>30 June, 2022<br>\$ '000 |
|------------------------------------------------|-------------------------------------------------|----------------------------------------------|-------------------------------------------------|
| <b>Net operating result for the year</b>       | <b>34,574</b>                                   | <b>(52)</b>                                  | <b>34,522</b>                                   |
| <b>Total comprehensive income for the year</b> | <b>34,574</b>                                   | <b>(52)</b>                                  | <b>34,522</b>                                   |

## G5 Statement of performance measures

### G5-1 Statement of performance measures – consolidated results

| \$ '000                                                                                                              | Amounts<br>2023 | Indicator<br>2023 | Indicators<br>2022 <sup>3</sup> 2021 |              | Benchmark     |
|----------------------------------------------------------------------------------------------------------------------|-----------------|-------------------|--------------------------------------|--------------|---------------|
| 1. Operating performance ratio                                                                                       |                 |                   |                                      |              |               |
| Total continuing operating revenue excluding capital grants and contributions less operating expenses <sup>1,2</sup> | 4,691           | 17.56%            | 5.76%                                | 3.74%        | > 0.00%       |
| Total continuing operating revenue excluding capital grants and contributions <sup>1</sup>                           | 26,721          |                   |                                      |              |               |
| 2. Own source operating revenue ratio                                                                                |                 |                   |                                      |              |               |
| Total continuing operating revenue excluding all grants and contributions <sup>1</sup>                               | 10,477          | 33.53%            | 9.76%                                | 14.87%       | > 60.00%      |
| Total continuing operating revenue <sup>1</sup>                                                                      | 31,250          |                   |                                      |              |               |
| 3. Unrestricted current ratio                                                                                        |                 |                   |                                      |              |               |
| Current assets less all external restrictions                                                                        | 19,207          | 7.70x             | 9.96x                                | 5.09x        | > 1.50x       |
| Current liabilities less specific purpose liabilities                                                                | 2,493           |                   |                                      |              |               |
| 4. Debt service cover ratio                                                                                          |                 |                   |                                      |              |               |
| Operating result before capital excluding interest and depreciation/impairment/amortisation <sup>1</sup>             | 10,408          | 9.42x             | 20.47x                               | 15.61x       | > 2.00x       |
| Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)                               | 1,105           |                   |                                      |              |               |
| 5. Rates and annual charges outstanding percentage                                                                   |                 |                   |                                      |              |               |
| Rates and annual charges outstanding                                                                                 | 234             | 8.31%             | 6.02%                                | 7.12%        | < 10.00%      |
| Rates and annual charges collectable                                                                                 | 2,817           |                   |                                      |              |               |
| 6. Cash expense cover ratio                                                                                          |                 |                   |                                      |              |               |
| Current year's cash and cash equivalents plus all term deposits                                                      | 19,301          | 14.04 months      | 26.08 months                         | 21.16 months | > 3.00 months |
| Monthly payments from cash flow of operating and financing activities                                                | 1,375           |                   |                                      |              |               |

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

(3) Restated - see Note G4-1

## G5-2 Statement of performance measures by fund

| \$ '000                                                                                                               | General Indicators <sup>3</sup> |                   | Water Indicators |              | Sewer Indicators |              | Benchmark     |
|-----------------------------------------------------------------------------------------------------------------------|---------------------------------|-------------------|------------------|--------------|------------------|--------------|---------------|
|                                                                                                                       | 2023                            | 2022 <sup>4</sup> | 2023             | 2022         | 2023             | 2022         |               |
| <b>1. Operating performance ratio</b>                                                                                 |                                 |                   |                  |              |                  |              |               |
| Total continuing operating revenue excluding capital grants and contributions less operating expenses <sup>1, 2</sup> | 20.86%                          | 9.91%             | (26.15)%         | (27.42)%     | (22.50)%         | (3.86)%      | > 0.00%       |
| Total continuing operating revenue excluding capital grants and contributions <sup>1</sup>                            |                                 |                   |                  |              |                  |              |               |
| <b>2. Own source operating revenue ratio</b>                                                                          |                                 |                   |                  |              |                  |              |               |
| Total continuing operating revenue excluding capital grants and contributions <sup>1</sup>                            | 29.68%                          | 6.57%             | 100.00%          | 99.82%       | 99.12%           | 100.00%      | > 60.00%      |
| Total continuing operating revenue <sup>1</sup>                                                                       |                                 |                   |                  |              |                  |              |               |
| <b>3. Unrestricted current ratio</b>                                                                                  |                                 |                   |                  |              |                  |              |               |
| Current assets less all external restrictions                                                                         | 7.70x                           | 9.96x             | 409.17x          | 77.93x       | 52.35x           | ∞            | > 1.50x       |
| Current liabilities less specific purpose liabilities                                                                 |                                 |                   |                  |              |                  |              |               |
| <b>4. Debt service cover ratio</b>                                                                                    |                                 |                   |                  |              |                  |              |               |
| Operating result before capital excluding interest and depreciation/impairment/amortisation <sup>1</sup>              | 9.42x                           | 19.23x            | 7.25x            | 117.50x      | ∞                | ∞            | > 2.00x       |
| Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)                                |                                 |                   |                  |              |                  |              |               |
| <b>5. Rates and annual charges outstanding percentage</b>                                                             |                                 |                   |                  |              |                  |              |               |
| Rates and annual charges outstanding                                                                                  | 6.44%                           | 1.46%             | 10.41%           | 10.88%       | 10.76%           | 11.98%       | < 10.00%      |
| Rates and annual charges collectable                                                                                  |                                 |                   |                  |              |                  |              |               |
| <b>6. Cash expense cover ratio</b>                                                                                    |                                 |                   |                  |              |                  |              |               |
| Current year's cash and cash equivalents plus all term deposits                                                       | 12.75 months                    | 24.70 months      | 28.35 months     | 26.96 months | 29.10 months     | 60.57 months | > 3.00 months |
| Monthly payments from cash flow of operating and financing activities                                                 |                                 |                   |                  |              |                  |              |               |

(4) Restated - see Note G4-1

(1) - (2) Refer to Notes at Note G5-1 above.

(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

**End of the audited financial statements**



## INDEPENDENT AUDITOR'S REPORT

### Report on the general purpose financial statements

#### Brewarrina Shire Council

To the Councillors of Brewarrina Shire Council

### Opinion

I have audited the accompanying financial statements of Brewarrina Shire Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2023, the Statement of Financial Position as at 30 June 2023, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended and notes comprising a summary of significant accounting policies and other explanatory information.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
  - have been prepared, in all material respects, in accordance with the requirements of this Division
  - are consistent with the Council's accounting records
  - present fairly, in all material respects, the financial position of the Council as at 30 June 2023, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

### Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

## **Other Information**

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

## **The Councillors' Responsibilities for the Financial Statements**

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

## **Auditor's Responsibilities for the Audit of the Financial Statements**

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: [www.auasb.gov.au/auditors\\_responsibilities/ar4.pdf](http://www.auasb.gov.au/auditors_responsibilities/ar4.pdf). The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 'Material budget variations
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Manuel Moncada  
Delegate of the Auditor-General for New South Wales

26 October 2023  
SYDNEY



Cr Vivian Slack-Smith  
Mayor  
Brewarrina Council  
PO Box 125  
BREWARRINA NSW 2839

Contact: Manuel Moncada  
Phone no: 02 9275 7333  
Our ref: R008-16585809-46251

26 October 2023

Dear Mayor

**Report on the Conduct of the Audit  
for the year ended 30 June 2023  
Brewarrina Shire Council**

I have audited the general purpose financial statements (GPFS) of the Brewarrina Shire Council (the Council) for the year ended 30 June 2023 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2023 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

**SIGNIFICANT AUDIT ISSUES AND OBSERVATIONS**

**INCOME STATEMENT**

**Operating result**

|                                                              | <b>2023</b> | <b>2022*</b> | <b>Variance</b> |
|--------------------------------------------------------------|-------------|--------------|-----------------|
|                                                              | <b>\$m</b>  | <b>\$m</b>   | <b>%</b>        |
| Rates and annual charges revenue                             | 2.62        | 2.44         | 7.4             |
| Grants and contributions revenue                             | 20.77       | 43.07        | 51.8            |
| Operating result from continuing operations                  | 9.42        | 34.52        | 72.7            |
| Net operating result before capital grants and contributions | 4.90        | 0.69         | 610             |

\* The 2022 comparatives have been restated to correct a prior period error. Note G4-1 of the financial statements provides details of the prior period error.

Council's operating result (\$9.42 million including the effect of depreciation and amortisation expense of \$5.66 million) was \$25.10 million lower than the 2021–22 result. This was mainly due to the receipt of significant capital grant funding, and contributed assets of \$13 million relating to the Yetta Dhinnakkai Correction Centre in the prior year.

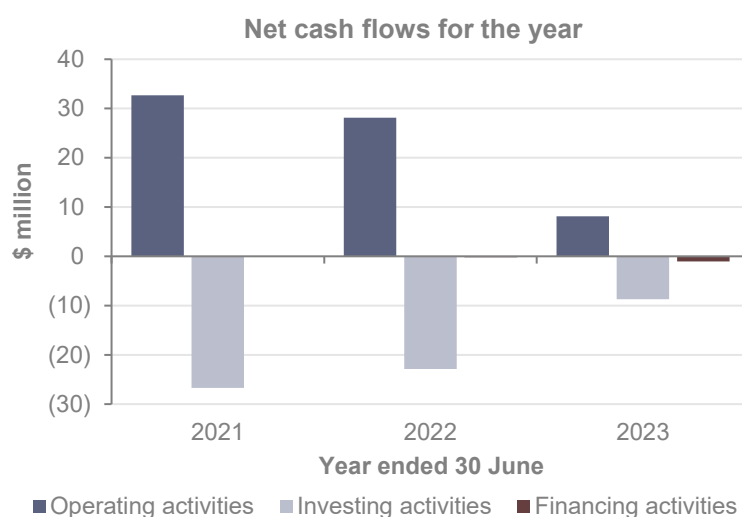
The net operating result before capital grants and contributions (\$4.90 million) was \$4.21 million higher than the 2021–22 result. This was mainly due to increased receipts of financial assistance and other operating grants.

Rates and annual charges revenue (\$2.62 million) increased by \$180,000 (7.4 per cent) in 2022–2023. Contributing to the increase was increased water supply and sewerage services charges.

Grants and contributions revenue (\$20.77 million) decreased by \$22.30 million (51.8 per cent) in 2022–2023 due to the receipt of significant capital grant funding, and contributed assets of \$13 million relating to the Yetta Dhinnakkai Correction Centre in the prior year.

## STATEMENT OF CASH FLOWS

- The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of Council during the year and reveals that cash decreased by \$1.7 million to \$19.3 million at the close of the year.



## FINANCIAL POSITION

### Cash and investments

| Cash and investments                                | 2023        | 2022        | Commentary                                                                                                                                                                                                                                                                                                 |
|-----------------------------------------------------|-------------|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                     | \$m         | \$m         |                                                                                                                                                                                                                                                                                                            |
| <b>Total cash, cash equivalents and investments</b> | <b>19.3</b> | <b>21.0</b> | <ul style="list-style-type: none"> <li>External restrictions include unspent specific purpose grants, domestic waste management charges and water and sewerage funds.</li> <li>Balances are internally restricted due to Council policy or decisions for forward plans including works program.</li> </ul> |
| Restricted cash and investments:                    |             |             |                                                                                                                                                                                                                                                                                                            |
| • External restrictions                             | 10.7        | 8.4         |                                                                                                                                                                                                                                                                                                            |
| • Internal allocations                              | 8.0         | 12.1        |                                                                                                                                                                                                                                                                                                            |

### Debt

After repaying principal and interest of \$1.1 million during the financial year, total debt as at 30 June 2023 was \$363,000 (2022: \$1.4 million).

# PERFORMANCE

## Performance measures

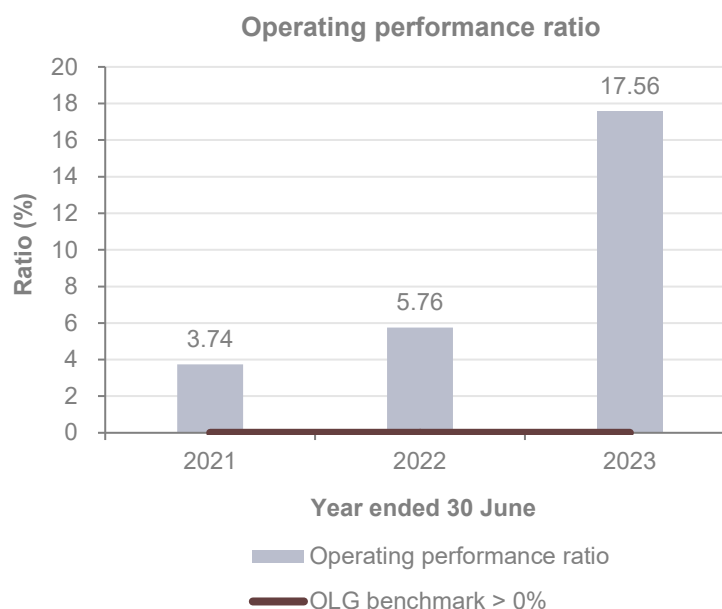
The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning and Environment.

### Operating performance ratio

The Council met the OLG benchmark for the current reporting period.

The 2022 ratio was restated to correct a prior period error.

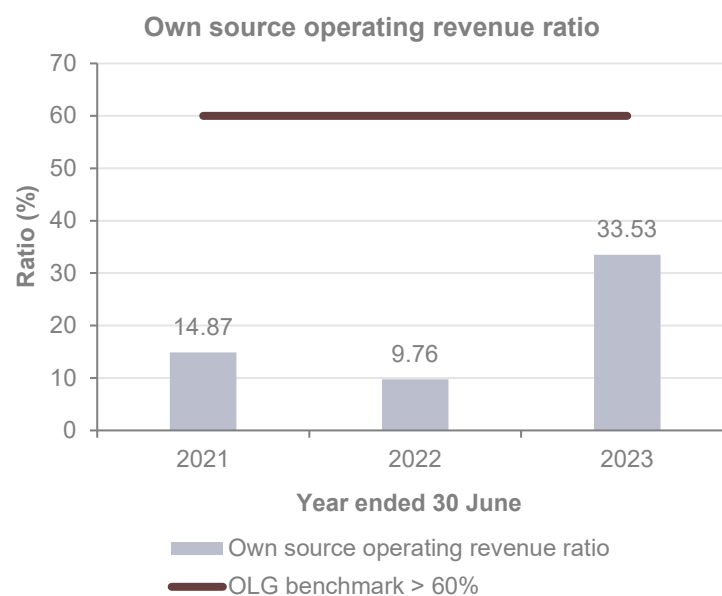
The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.



### Own source operating revenue ratio

The Council did not meet the OLG benchmark for the current reporting period.

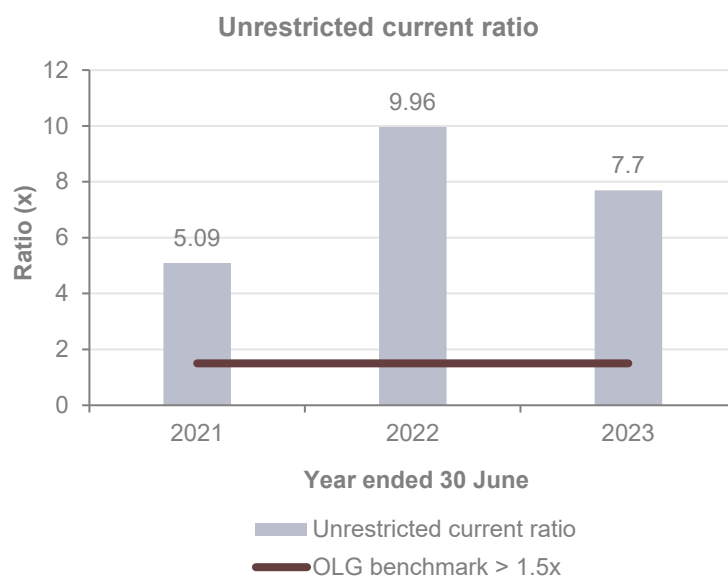
The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.



### Unrestricted current ratio

The Council met the OLG benchmark for the current reporting period.

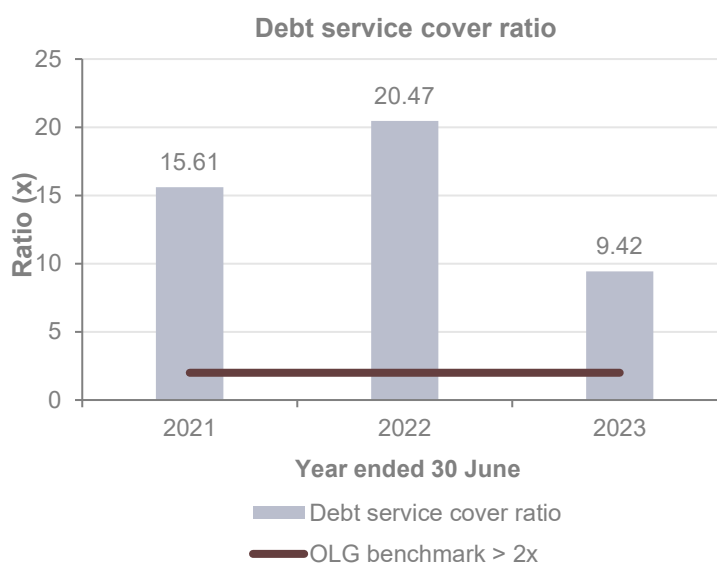
The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.



### Debt service cover ratio

The Council met the OLG benchmark for the current reporting period.

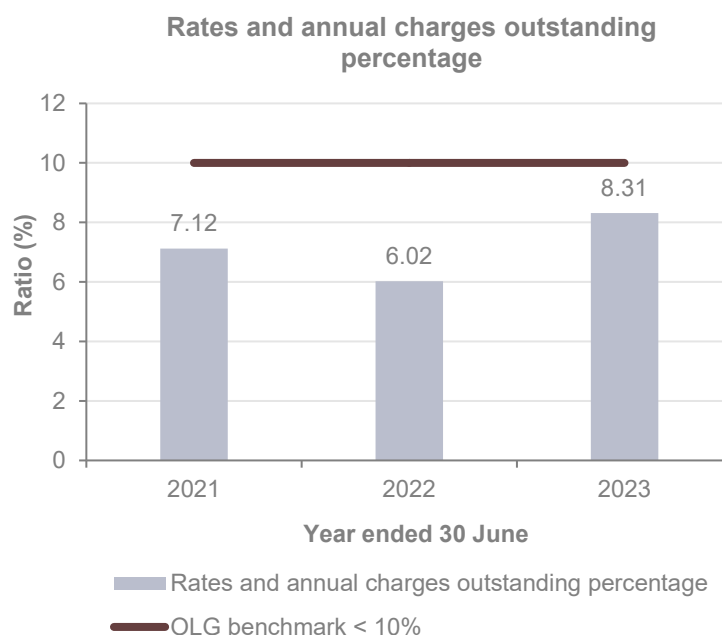
The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.



## Rates and annual charges outstanding percentage

The Council met the OLG benchmark for the current reporting period.

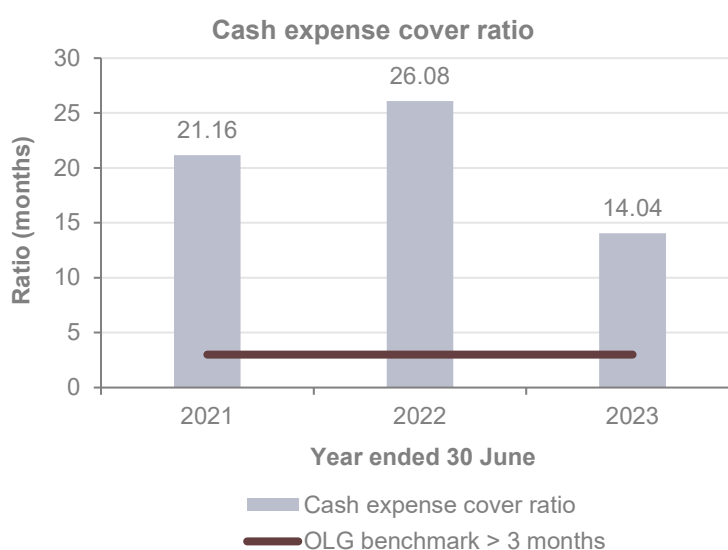
The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than 10 per cent for metropolitan councils.



## Cash expense cover ratio

The Council met the OLG benchmark for the current reporting period.

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.



## Infrastructure, property, plant and equipment renewals

- Council's asset renewal additions for the year were \$1.7 million compared \$22.1 million for the prior year
- The level of asset renewals during the year represented 30 percent of the total depreciation expense (\$5.7 million) for the year.

## OTHER MATTERS

### Legislative compliance

My audit procedures did not identify any instances of non-compliance with legislative requirements or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited

- staff provided all accounting records and information relevant to the audit.

The Council's:

- accounting records were maintained in a manner and form that facilitated the preparation and the effective audit of the GPFS
- staff provided all accounting records and information relevant to the audit.

A handwritten signature in black ink, appearing to read 'Manuel Moncada', with a stylized flourish at the end.

Manuel Moncada  
Delegate of the Auditor-General for New South Wales

# Brewarrina Shire Council

## SPECIAL PURPOSE FINANCIAL STATEMENTS for the year ended 30 June 2023

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*Building on the economic and social sustainability in order  
to preserve the rich heritage of the community*



## Special Purpose Financial Statements

for the year ended 30 June 2023

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| <b>Special Purpose Financial Statements:</b>                      |           |
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| Income Statement of sewerage business activity                    | 5         |
| Statement of Financial Position of water supply business activity | 6         |
| Statement of Financial Position of sewerage business activity     | 7         |
| <b>Note – Significant Accounting Policies</b>                     | <b>8</b>  |
| <b>Auditor's Report on Special Purpose Financial Statements</b>   | <b>10</b> |

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### Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

## Brewarrina Shire Council

### Special Purpose Financial Statements

for the year ended 30 June 2023

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#### Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached special purpose financial statements have been prepared in accordance with:

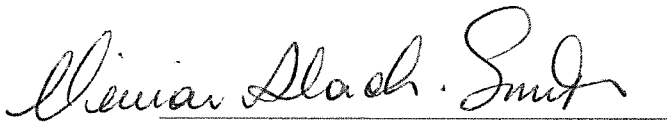
- NSW Government Policy Statement, *Application of National Competition Policy to Local Government*
- Division of Local Government Guidelines, *Pricing and Costing for Council Businesses: A Guide to Competitive Neutrality*
- The Local Government Code of Accounting Practice and Financial Reporting
- Sections 3 and 4 of the NSW Department of Planning and Environment, *Water's Regulatory and assurance framework for local water utilities*.

To the best of our knowledge and belief, these statements:

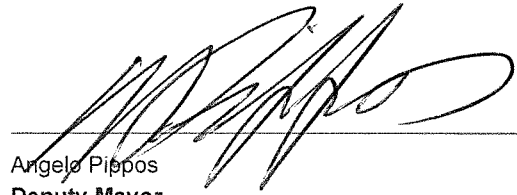
- present fairly the operating result and financial position for each of Council's declared business activities for the year,
- accord with Council's accounting and other records; and
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

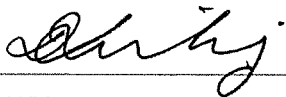
Signed in accordance with a resolution of Council made on 25 August 2023.



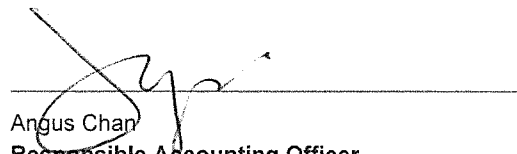
Vivian Slack-Smith  
**Mayor**  
25 August 2023



Angelo Pispas  
**Deputy Mayor**  
25 August 2023



David Kirby  
**General Manager**  
25 August 2023



Angus Chan  
**Responsible Accounting Officer**  
25 August 2023

## Brewarrina Shire Council

### Income Statement of water supply business activity

for the year ended 30 June 2023

|                                                                            | 2023<br>\$ '000 | 2022<br>\$ '000 |
|----------------------------------------------------------------------------|-----------------|-----------------|
| <b>Income from continuing operations</b>                                   |                 |                 |
| Access charges                                                             | 778             | 754             |
| User charges                                                               | 280             | 362             |
| Interest and investment income                                             | 93              | 20              |
| Grants and contributions provided for operating purposes                   | —               | 2               |
| <b>Total income from continuing operations</b>                             | <b>1,151</b>    | <b>1,138</b>    |
| <b>Expenses from continuing operations</b>                                 |                 |                 |
| Employee benefits and on-costs                                             | 200             | 182             |
| Borrowing costs                                                            | —               | 2               |
| Administration and engineering supervision                                 | 247             | 319             |
| Materials and services                                                     | 491             | 297             |
| Depreciation, amortisation and impairment                                  | 475             | 545             |
| Other expenses                                                             | 39              | 105             |
| <b>Total expenses from continuing operations</b>                           | <b>1,452</b>    | <b>1,450</b>    |
| <b>Surplus (deficit) from continuing operations before capital amounts</b> | <b>(301)</b>    | <b>(312)</b>    |
| <b>Surplus (deficit) from continuing operations after capital amounts</b>  | <b>(301)</b>    | <b>(312)</b>    |
| <b>Surplus (deficit) from all operations before tax</b>                    | <b>(301)</b>    | <b>(312)</b>    |
| <b>Surplus (deficit) after tax</b>                                         | <b>(301)</b>    | <b>(312)</b>    |
| <b>Plus accumulated surplus</b>                                            | <b>2,905</b>    | <b>3,217</b>    |
| <b>Closing accumulated surplus</b>                                         | <b>2,604</b>    | <b>2,905</b>    |
| <b>Return on capital %</b>                                                 | <b>(2.1)%</b>   | <b>(2.3)%</b>   |
| <b>Subsidy from Council</b>                                                | <b>875</b>      | <b>811</b>      |
| <b>Calculation of dividend payable:</b>                                    |                 |                 |
| Surplus (deficit) after tax                                                | (301)           | (312)           |
| <b>Surplus for dividend calculation purposes</b>                           | <b>—</b>        | <b>—</b>        |
| <b>Potential dividend calculated from surplus</b>                          | <b>—</b>        | <b>—</b>        |

## Brewarrina Shire Council

### Income Statement of sewerage business activity

for the year ended 30 June 2023

|                                                                            | 2023<br>\$ '000 | 2022<br>\$ '000 |
|----------------------------------------------------------------------------|-----------------|-----------------|
| <b>Income from continuing operations</b>                                   |                 |                 |
| Access charges                                                             | 502             | 484             |
| Interest and investment income                                             | 58              | 8               |
| <b>Total income from continuing operations</b>                             | <b>560</b>      | <b>492</b>      |
| <b>Expenses from continuing operations</b>                                 |                 |                 |
| Employee benefits and on-costs                                             | 122             | 113             |
| Administration and engineering supervision                                 | 93              | 113             |
| Materials and services                                                     | 165             | 36              |
| Depreciation, amortisation and impairment                                  | 280             | 196             |
| Other expenses                                                             | 26              | 53              |
| <b>Total expenses from continuing operations</b>                           | <b>686</b>      | <b>511</b>      |
| <b>Surplus (deficit) from continuing operations before capital amounts</b> | <b>(126)</b>    | <b>(19)</b>     |
| Grants and contributions provided for capital purposes                     | 5               | —               |
| <b>Surplus (deficit) from continuing operations after capital amounts</b>  | <b>(121)</b>    | <b>(19)</b>     |
| <b>Surplus (deficit) from all operations before tax</b>                    | <b>(121)</b>    | <b>(19)</b>     |
| <b>Surplus (deficit) after tax</b>                                         | <b>(121)</b>    | <b>(19)</b>     |
| <b>Plus accumulated surplus</b>                                            | <b>846</b>      | <b>865</b>      |
| <b>Plus adjustments for amounts unpaid:</b>                                |                 |                 |
| <b>Closing accumulated surplus</b>                                         | <b>725</b>      | <b>846</b>      |
| <b>Return on capital %</b>                                                 | <b>(1.5)%</b>   | <b>(0.2)%</b>   |
| <b>Subsidy from Council</b>                                                | <b>474</b>      | <b>297</b>      |
| <b>Calculation of dividend payable:</b>                                    |                 |                 |
| Surplus (deficit) after tax                                                | (121)           | (19)            |
| Less: capital grants and contributions (excluding developer contributions) | (5)             | —               |
| <b>Surplus for dividend calculation purposes</b>                           | <b>—</b>        | <b>—</b>        |
| <b>Potential dividend calculated from surplus</b>                          | <b>—</b>        | <b>—</b>        |

## Brewarrina Shire Council

### Statement of Financial Position of water supply business activity

as at 30 June 2023

|                                               | 2023<br>\$ '000 | 2022<br>\$ '000 |
|-----------------------------------------------|-----------------|-----------------|
| <b>ASSETS</b>                                 |                 |                 |
| <b>Current assets</b>                         |                 |                 |
| Cash and cash equivalents                     | 2,204           | 2,033           |
| Receivables                                   | 251             | 305             |
| <b>Total current assets</b>                   | <b>2,455</b>    | <b>2,338</b>    |
| <b>Non-current assets</b>                     |                 |                 |
| Infrastructure, property, plant and equipment | 14,269          | 13,696          |
| <b>Total non-current assets</b>               | <b>14,269</b>   | <b>13,696</b>   |
| <b>Total assets</b>                           | <b>16,724</b>   | <b>16,034</b>   |
| <b>LIABILITIES</b>                            |                 |                 |
| <b>Current liabilities</b>                    |                 |                 |
| Payables                                      | 6               | 6               |
| Borrowings                                    | –               | 24              |
| <b>Total current liabilities</b>              | <b>6</b>        | <b>30</b>       |
| <b>Total liabilities</b>                      | <b>6</b>        | <b>30</b>       |
| <b>Net assets</b>                             | <b>16,718</b>   | <b>16,004</b>   |
| <b>EQUITY</b>                                 |                 |                 |
| Accumulated surplus                           | 2,604           | 2,905           |
| Revaluation reserves                          | 14,114          | 13,099          |
| <b>Total equity</b>                           | <b>16,718</b>   | <b>16,004</b>   |

## Brewarrina Shire Council

### Statement of Financial Position of sewerage business activity

as at 30 June 2023

|                                               | 2023<br>\$ '000 | 2022<br>\$ '000 |
|-----------------------------------------------|-----------------|-----------------|
| <b>ASSETS</b>                                 |                 |                 |
| <b>Current assets</b>                         |                 |                 |
| Cash and cash equivalents                     | 987             | 1,590           |
| Receivables                                   | 60              | 59              |
| <b>Total current assets</b>                   | <b>1,047</b>    | <b>1,649</b>    |
| <b>Non-current assets</b>                     |                 |                 |
| Infrastructure, property, plant and equipment | 8,653           | 7,607           |
| <b>Total non-current assets</b>               | <b>8,653</b>    | <b>7,607</b>    |
| <b>Total assets</b>                           | <b>9,700</b>    | <b>9,256</b>    |
| <b>LIABILITIES</b>                            |                 |                 |
| <b>Current liabilities</b>                    |                 |                 |
| Contract liabilities                          | 20              | —               |
| <b>Total current liabilities</b>              | <b>20</b>       | <b>—</b>        |
| <b>Total liabilities</b>                      | <b>20</b>       | <b>—</b>        |
| <b>Net assets</b>                             | <b>9,680</b>    | <b>9,256</b>    |
| <b>EQUITY</b>                                 |                 |                 |
| Accumulated surplus                           | 725             | 846             |
| Revaluation reserves                          | 8,955           | 8,410           |
| <b>Total equity</b>                           | <b>9,680</b>    | <b>9,256</b>    |

## Note – Significant Accounting Policies

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2021* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

### National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

### Declared business activities

In accordance with Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality, Council has declared that the following are to be considered as business activities:

#### Category 1

(where gross operating turnover is over \$2 million)

Council has no Category 1 business activities.

#### Category 2

(where gross operating turnover is less than \$2 million)

##### a. Brewarrina Shire Water Supplies

Comprising the whole of the water supply operations and net assets servicing the town of Brewarrina and the village of Goodooga.

##### b. Brewarrina Shire Sewerage Service

Comprising the whole of the sewerage reticulation and treatment operations and net assets servicing the town of Brewarrina and the village of Goodooga.

### Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs. However, where Council does not pay some taxes, which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in special purpose financial statements. For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

#### Notional rate applied (%)

Corporate income tax rate – **25%** (21/22 25%)

## Note – Significant Accounting Policies (continued)

**Land tax** – the first \$969,000 of combined land values attracts **0%**. For the combined land values in excess of \$969,000 up to \$5,925,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$5,925,000 a premium marginal rate of **2.0%** applies.

In accordance with the Department of Planning, Industry & Environment – Water guidelines, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the Best Practice Management of Water Supply and Sewer Guidelines as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to the DPIE – Water guidelines is not a prerequisite for the payment of the tax equivalent charges; however the payment must not exceed \$3 per assessment.

### Income tax

An income tax equivalent has been applied on the profits of the business activities. Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested. Accordingly, the return on capital invested is set at a pre-tax level – gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 25% (21/22 25%).

Income tax is only applied where a gain from ordinary activities before capital amounts has been achieved. Since the taxation equivalent is notional – that is, it is payable to the 'Council' as the owner of business operations – it represents an internal payment and has no effect on the operations of the Council.

Accordingly, there is no need for disclosure of internal charges in the SPFS. The rate applied of 25% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

### Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

### Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors. In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

#### (i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

#### (ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

#### (iii) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.



## **INDEPENDENT AUDITOR'S REPORT**

### **Report on the special purpose financial statements**

#### **Brewarrina Shire Council**

To the Councillors of Brewarrina Shire Council

### **Opinion**

I have audited the accompanying special purpose financial statements (the financial statements) of Brewarrina Shire Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2023, the Statement of Financial Position of each Declared Business Activity as at 30 June 2023 and Significant accounting policies note.

The Declared Business Activities of the Council are:

- Water supply
- Sewerage

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2023, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Significant accounting policies note and the Local Government Code of Accounting Practice and Financial Reporting 2022–23 (LG Code).

My opinion should be read in conjunction with the rest of this report.

### **Basis for Opinion**

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

## **Emphasis of Matter - Basis of Accounting**

Without modifying my opinion, I draw attention to the Significant accounting policies note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

## **Other Information**

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

## **The Councillors' Responsibilities for the Financial Statements**

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Significant accounting policies note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

## **Auditor's Responsibilities for the Audit of the Financial Statements**

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: [www.auasb.gov.au/auditors\\_responsibilities/ar4.pdf](http://www.auasb.gov.au/auditors_responsibilities/ar4.pdf). The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Manuel Moncada', with a stylized flourish at the end.

Manuel Moncada  
Delegate of the Auditor-General for New South Wales

26 October 2023  
SYDNEY

# Brewarrina Shire Council

SPECIAL SCHEDULES  
for the year ended 30 June 2023

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*Building on the economic and social sustainability in order  
to preserve the rich heritage of the community*



Brewarrina Shire Council

Special Schedules

for the year ended 30 June 2023

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| <b>Special Schedules:</b>                          |      |
| Permissible income for general rates               | 3    |
| Report on infrastructure assets as at 30 June 2023 | 6    |

## Brewarrina Shire Council

## Permissible income for general rates

|                                                         | Notes                   | Calculation<br>2022/23<br>\$ '000 | Calculation<br>2023/24<br>\$ '000 |
|---------------------------------------------------------|-------------------------|-----------------------------------|-----------------------------------|
| <b>Notional general income calculation <sup>1</sup></b> |                         |                                   |                                   |
| Last year notional general income yield                 | a                       | 1,136                             | 1,120                             |
| Plus or minus adjustments <sup>2</sup>                  | b                       | (22)                              | 2                                 |
| <b>Notional general income</b>                          | c = a + b               | <b>1,114</b>                      | <b>1,122</b>                      |
| <b>Permissible income calculation</b>                   |                         |                                   |                                   |
| Or rate peg percentage                                  | e                       | 0.70%                             | 3.70%                             |
| Or plus rate peg amount                                 | i = e x (c + g)         | 8                                 | 42                                |
| <b>Sub-total</b>                                        | k = (c + g + h + i + j) | <b>1,122</b>                      | <b>1,164</b>                      |
| Plus (or minus) last year's carry forward total         | l                       | —                                 | 23                                |
| <b>Sub-total</b>                                        | n = (l + m)             | <b>—</b>                          | <b>23</b>                         |
| <b>Total permissible income</b>                         | o = k + n               | <b>1,122</b>                      | <b>1,187</b>                      |
| Less notional general income yield                      | p                       | 1,120                             | 1,154                             |
| <b>Catch-up or (excess) result</b>                      | q = o – p               | <b>2</b>                          | <b>32</b>                         |
| <b>Carry forward to next year <sup>3</sup></b>          | t = q + r + s           | <b>2</b>                          | <b>32</b>                         |

**Notes**

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (3) Carry forward amounts which are in excess (an amount that exceeds the permissible income) require ministerial approval by order published in the NSW Government Gazette in accordance with section 512 of the Local Government Act 1993. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



## INDEPENDENT AUDITOR'S REPORT

### Special Schedule – Permissible income for general rates

#### Brewarrina Shire Council

To the Councillors of Brewarrina Shire Council

### Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Brewarrina Shire Council (the Council) for the year ending 30 June 2024.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2022–23 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

### Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

### Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

### Other Information

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2023'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

### **The Councillors' Responsibilities for the Schedule**

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

### **Auditor's Responsibilities for the Audit of the Schedule**

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: [www.auasb.gov.au/auditors\\_responsibilities/ar8.pdf](http://www.auasb.gov.au/auditors_responsibilities/ar8.pdf). The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.



Manuel Moncada  
Delegate of the Auditor-General for New South Wales

26 October 2023  
SYDNEY

## Brewarrina Shire Council

## Report on infrastructure assets as at 30 June 2023

| Asset Class                          | Asset Category              | Estimated cost to bring assets to satisfactory standard | Estimated cost to bring to the agreed level of service set by Council | 2022/23 Required maintenance <sup>a</sup> | 2022/23 Actual maintenance | Net carrying amount | Gross replacement cost (GRC) | Assets in condition as a percentage of gross replacement cost |              |              |              |              |
|--------------------------------------|-----------------------------|---------------------------------------------------------|-----------------------------------------------------------------------|-------------------------------------------|----------------------------|---------------------|------------------------------|---------------------------------------------------------------|--------------|--------------|--------------|--------------|
|                                      |                             | \$ '000                                                 | \$ '000                                                               | \$ '000                                   | \$ '000                    | \$ '000             | \$ '000                      | 1                                                             | 2            | 3            | 4            | 5            |
| Buildings                            | Buildings – specialised     | 140                                                     | 23                                                                    | 456                                       | 456                        | 25,620              | 36,008                       | 17.0%                                                         | 29.0%        | 53.0%        | 1.0%         | 0.0%         |
|                                      | Buildings – non-specialised | 154                                                     | –                                                                     | –                                         | –                          | 2,035               | 3,446                        | 24.0%                                                         | 3.0%         | 60.0%        | 13.0%        | 0.0%         |
|                                      | <b>Sub-total</b>            | <b>294</b>                                              | <b>23</b>                                                             | <b>456</b>                                | <b>456</b>                 | <b>27,655</b>       | <b>39,454</b>                | <b>17.6%</b>                                                  | <b>26.7%</b> | <b>53.6%</b> | <b>2.0%</b>  | <b>0.1%</b>  |
| Other structures                     | Other structures            | 322                                                     | 331                                                                   | –                                         | –                          | 5,236               | 7,898                        | 39.0%                                                         | 27.0%        | 20.0%        | 10.0%        | 4.0%         |
|                                      | <b>Sub-total</b>            | <b>322</b>                                              | <b>331</b>                                                            | <b>–</b>                                  | <b>–</b>                   | <b>5,236</b>        | <b>7,898</b>                 | <b>39.0%</b>                                                  | <b>27.0%</b> | <b>20.0%</b> | <b>10.0%</b> | <b>4.0%</b>  |
| Roads, Bridges & Footpaths           | Sealed                      | 4,160                                                   | 5,969                                                                 | 139                                       | 139                        | 132,214             | 154,712                      | 75.0%                                                         | 9.0%         | 7.0%         | 5.0%         | 4.0%         |
|                                      | Unsealed roads              | 215                                                     | 155                                                                   | –                                         | –                          | 14,657              | 17,586                       | 55.0%                                                         | 39.0%        | 0.0%         | 5.0%         | 1.0%         |
|                                      | Bridges                     | 101                                                     | –                                                                     | –                                         | –                          | 18,113              | 24,088                       | 28.0%                                                         | 65.0%        | 5.0%         | 2.0%         | 0.0%         |
|                                      | Footpaths                   | 169                                                     | –                                                                     | –                                         | –                          | 2,521               | 3,363                        | 66.0%                                                         | 2.0%         | 0.0%         | 32.0%        | 0.0%         |
|                                      | <b>Sub-total</b>            | <b>4,645</b>                                            | <b>6,124</b>                                                          | <b>139</b>                                | <b>139</b>                 | <b>167,505</b>      | <b>199,749</b>               | <b>67.4%</b>                                                  | <b>18.3%</b> | <b>6.0%</b>  | <b>5.1%</b>  | <b>3.2%</b>  |
| Water supply network                 | Water supply network        | 1,958                                                   | 4,441                                                                 | 246                                       | 246                        | 13,970              | 24,558                       | 16.0%                                                         | 45.0%        | 3.0%         | 18.0%        | 18.0%        |
|                                      | <b>Sub-total</b>            | <b>1,958</b>                                            | <b>4,441</b>                                                          | <b>246</b>                                | <b>246</b>                 | <b>13,970</b>       | <b>24,558</b>                | <b>16.0%</b>                                                  | <b>45.0%</b> | <b>3.0%</b>  | <b>18.0%</b> | <b>18.0%</b> |
| Sewerage network                     | Sewerage network            | 1,409                                                   | 2,100                                                                 | 103                                       | 103                        | 7,721               | 14,027                       | 16.0%                                                         | 43.0%        | 5.0%         | 21.0%        | 15.0%        |
|                                      | <b>Sub-total</b>            | <b>1,409</b>                                            | <b>2,100</b>                                                          | <b>103</b>                                | <b>103</b>                 | <b>7,721</b>        | <b>14,027</b>                | <b>16.0%</b>                                                  | <b>43.0%</b> | <b>5.0%</b>  | <b>21.0%</b> | <b>15.0%</b> |
| Stormwater drainage                  | Stormwater drainage         | 260                                                     | –                                                                     | –                                         | –                          | 700                 | 1,850                        | 1.0%                                                          | 10.0%        | 2.0%         | 87.0%        | 0.0%         |
|                                      | <b>Sub-total</b>            | <b>260</b>                                              | <b>–</b>                                                              | <b>–</b>                                  | <b>–</b>                   | <b>700</b>          | <b>1,850</b>                 | <b>1.0%</b>                                                   | <b>10.0%</b> | <b>2.0%</b>  | <b>87.0%</b> | <b>0.0%</b>  |
| Open space / recreational assets     | Swimming pools              | 456                                                     | 1,465                                                                 | 549                                       | 549                        | 1,715               | 3,061                        | 49.0%                                                         | 0.0%         | 3.0%         | 0.0%         | 48.0%        |
|                                      | Other recreational          | 10                                                      | –                                                                     | –                                         | –                          | 1,164               | 1,347                        | 78.0%                                                         | 13.0%        | 5.0%         | 4.0%         | 0.0%         |
|                                      | <b>Sub-total</b>            | <b>466</b>                                              | <b>1,465</b>                                                          | <b>549</b>                                | <b>549</b>                 | <b>2,879</b>        | <b>4,408</b>                 | <b>57.9%</b>                                                  | <b>4.0%</b>  | <b>3.6%</b>  | <b>1.2%</b>  | <b>33.3%</b> |
| Aerodromes                           | Aerodromes                  | 346                                                     | 387                                                                   | –                                         | –                          | 2,612               | 4,623                        | 17.0%                                                         | 23.0%        | 34.0%        | 17.0%        | 9.0%         |
|                                      | <b>Sub-total</b>            | <b>346</b>                                              | <b>387</b>                                                            | <b>–</b>                                  | <b>–</b>                   | <b>2,612</b>        | <b>4,623</b>                 | <b>17.0%</b>                                                  | <b>23.0%</b> | <b>34.0%</b> | <b>17.0%</b> | <b>9.0%</b>  |
| Additional asset class (if required) | Levee Bank – Levee Bank     | 745                                                     | 755                                                                   | –                                         | –                          | 3,727               | 6,489                        | 29.0%                                                         | 17.0%        | 5.0%         | 38.0%        | 11.0%        |
|                                      | <b>Sub-total</b>            | <b>745</b>                                              | <b>755</b>                                                            | <b>–</b>                                  | <b>–</b>                   | <b>3,727</b>        | <b>6,489</b>                 | <b>29.0%</b>                                                  | <b>17.0%</b> | <b>5.0%</b>  | <b>38.0%</b> | <b>11.0%</b> |
| <b>Total – all assets</b>            |                             | <b>10,445</b>                                           | <b>15,626</b>                                                         | <b>1,493</b>                              | <b>1,493</b>               | <b>232,005</b>      | <b>303,056</b>               | <b>51.5%</b>                                                  | <b>22.7%</b> | <b>12.6%</b> | <b>7.9%</b>  | <b>5.3%</b>  |

## Brewarrina Shire Council

### Report on infrastructure assets as at 30 June 2023 (continued)

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(a) Required maintenance is the amount identified in Council's asset management plans.

#### Infrastructure asset condition assessment 'key'

| # | Condition           | Integrated planning and reporting (IP&R) description |
|---|---------------------|------------------------------------------------------|
| 1 | Excellent/very good | No work required (normal maintenance)                |
| 2 | Good                | Only minor maintenance work required                 |
| 3 | Satisfactory        | Maintenance work required                            |
| 4 | Poor                | Renewal required                                     |
| 5 | Very poor           | Urgent renewal/upgrading required                    |

## Brewarrina Shire Council

## Report on infrastructure assets as at 30 June 2023

## Infrastructure asset performance indicators (consolidated) \*

| \$ '000                                                                  | Amounts<br>2023 | Indicator<br>2023 | Indicators<br>2022 <sup>3</sup> 2021 |         | Benchmark |
|--------------------------------------------------------------------------|-----------------|-------------------|--------------------------------------|---------|-----------|
| Buildings and infrastructure renewals ratio                              |                 |                   |                                      |         |           |
| Asset renewals <sup>1</sup>                                              | 1,620           | 37.62%            | 719.07%                              | 918.79% | > 100.00% |
| Depreciation, amortisation and impairment                                | 4,306           |                   |                                      |         |           |
| Infrastructure backlog ratio                                             |                 |                   |                                      |         |           |
| Estimated cost to bring assets to a satisfactory standard                | 10,445          | 4.48%             | 1.27%                                | 1.60%   | < 2.00%   |
| Net carrying amount of infrastructure assets                             | 233,339         |                   |                                      |         |           |
| Asset maintenance ratio                                                  |                 |                   |                                      |         |           |
| Actual asset maintenance                                                 | 1,493           | 100.00%           | 110.15%                              | 88.35%  | > 100.00% |
| Required asset maintenance                                               | 1,493           |                   |                                      |         |           |
| Cost to bring assets to agreed service level                             |                 |                   |                                      |         |           |
| Estimated cost to bring assets to an agreed service level set by Council | 15,626          | 5.16%             | 1.06%                                | 1.26%   |           |
| Gross replacement cost                                                   | 303,056         |                   |                                      |         |           |

(\*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

(3) Restated - see Note G4-1

## Brewarrina Shire Council

## Report on infrastructure assets as at 30 June 2023

## Infrastructure asset performance indicators (by fund)

|                                                                          | General fund |                   | Water fund |         | Sewer fund |        | Benchmark |
|--------------------------------------------------------------------------|--------------|-------------------|------------|---------|------------|--------|-----------|
| \$ '000                                                                  | 2023         | 2022 <sup>2</sup> | 2023       | 2022    | 2023       | 2022   |           |
| Buildings and infrastructure renewals ratio                              |              |                   |            |         |            |        |           |
| Asset renewals <sup>1</sup>                                              |              |                   |            |         |            |        |           |
| Depreciation, amortisation and impairment                                | 46.97%       | 969.46%           | 0.00%      | 20.85%  | 0.00%      | 0.51%  | > 100.00% |
| Infrastructure backlog ratio                                             |              |                   |            |         |            |        |           |
| Estimated cost to bring assets to a satisfactory standard                |              |                   |            |         |            |        |           |
| Net carrying amount of infrastructure assets                             | 3.45%        | 1.29%             | 14.02%     | 1.43%   | 18.25%     | 1.51%  | < 2.00%   |
| Asset maintenance ratio                                                  |              |                   |            |         |            |        |           |
| Actual asset maintenance                                                 |              |                   |            |         |            |        |           |
| Required asset maintenance                                               | 100.00%      | 110.05%           | 100.00%    | 150.00% | 100.00%    | 52.83% | > 100.00% |
| Cost to bring assets to agreed service level                             |              |                   |            |         |            |        |           |
| Estimated cost to bring assets to an agreed service level set by Council |              |                   |            |         |            |        |           |
| Gross replacement cost                                                   | 3.44%        | 1.10%             | 18.08%     | 0.89%   | 14.97%     | 0.88%  |           |

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

(2) Restated - see Note G4-1